



Annual Activity Report 2023

annexes

DIRECTORATE-GENERAL FOR DEFENCE
INDUSTRY AND SPACE

Contents

ANNEX 1:	Statement of the Director in charge of Risk Management and Internal Control.....	3
ANNEX 2:	Performance tables.....	4
ANNEX 3:	Draft annual accounts and financial reports	22
ANNEX 4:	Financial scorecard.....	34
ANNEX 5:	Materiality criteria.....	36
ANNEX 6:	Relevant Control System(s) for budget implementation (RCSs)	46
ANNEX 7:	Specific annexes related to "financial management"	58
ANNEX 8:	Specific annexes related to "assessment of the effectiveness of the internal control systems"	68
ANNEX 9:	Specific annexes related to "Control results" and "Assurance: Reservations"	69
ANNEX 10:	Reporting – Human resources, digital transformation and information management and sound environmental management.....	75
ANNEX 11:	Implementation through national or international public-sector bodies and bodies governed by private law with a public sector mission (if applicable).....	83
ANNEX 12:	EAMR of the Union Delegations (if applicable)	84
ANNEX 13:	Decentralised agencies and/or EU Trust Funds (if applicable).....	85

ANNEX 1: Statement of the Director in charge of Risk Management and Internal Control

"I declare that in accordance with the Commission's communication on the internal control framework ⁽¹⁾, I have reported my advice and recommendations on the overall state of internal control in the DG to the Director-General.

I hereby certify that the information provided in section 2 of the present Annual Activity Report and in its annexes is, to the best of my knowledge, accurate and complete."

Brussels, 22/03/2024

e-signed

Christine Bernot

Acting Director Resources and General Affairs

⁽¹⁾ C(2017)2373 of 19.04.2017.

ANNEX 2: Performance tables

General objective 1: A European Green Deal				
Impact indicator 1: Greenhouse gas emissions				
Source of the data: European Environmental Agency (Eurostat online datacode: sdg_13_10)				
Baseline (2018)	Interim Milestone ⁽²⁾ (please add as many columns as the number of defined milestones)		Target (year + explanation how the target was agreed) (2030)	Latest known results (2023)
	(2020)	(year)		
-23%	-20%	...	-55% of net GHG emissions	-30%
Impact indicator 3: Climate mainstreaming in the European Union budget				
Source of the data: European Commission Draft Budget Reports				
Baseline (2014-2020, previous MFF) ⁽³⁾	Interim Milestone ⁽⁴⁾ (please add as many columns as the number of defined milestones)		Target (2021-2027)	Latest known results (2023)
	(2022)	(year)		
21%	30%	...	30%	34.8% ⁽⁵⁾

⁽²⁾ In case of short- or medium-term objectives (all targets are set to be achieved in less than 3 years) the milestones column should be deleted from the table.

⁽³⁾ Change from yearly basis to duration basis

⁽⁴⁾ In case of short- or medium-term objectives (all targets are set to be achieved in less than 3 years) the milestones column should be deleted from the table.

⁽⁵⁾ Estimate based on commitment appropriations

Specific objective 1.1: *Reliable data and services of the EU Space Programme are cornerstones for the monitoring of, and transition to climate-neutrality and ecological sustainability*

Related to spending programme(s):

EU Space Programme

Result indicator: Number of users of the Copernicus Climate Change Service

Source of the data: ECMWF, <https://climate.copernicus.eu/>

Baseline 2019) ⁶	Interim Milestone (please add as many columns as the number of defined milestones)		Target (2024)	Latest known results (2023)
	(2022)	(year)		
28 000	70 000	...	80 000	250000

Output indicator: Number of EGNOS-based precision approach procedures published (both APV-I and LPV-200)⁷

Source of the data: European Satellite Services Provider

Baseline (2020) ⁸	Interim Milestone (please add as many columns as the number of defined milestones)		Target (2024)	Latest known results (2023)
	(2022)	(year)		
562	Increase	...	1 150 Figure approx. corresponds to the total number of instrumental runway ends in EU Member States, including in Norway and Switzerland	935

⁽⁶⁾ The Copernicus Climate Change Service started operations in June 2018. The baseline is based on the number of registered users available by 2019.

⁽⁷⁾ This indicator is also be reported under the Programme Statement for the EU Space Programme, as part of the annual draft general budget of the European Union.

⁽⁸⁾ Please note that the baseline value for some DEFIS indicators which have their legal base under the EU Space Regulation and European Defence Fund proposals or which were set out in the DEFIS Strategic Plan (2020-2024) with the creation of the DG DEFIS in January 2020, is set at 2020. In such cases, the earliest known values from year 2020 are set as the baselines and the latest available results by 2020 are reported, by end of 2020. Whereas, indicators which were developed under the previous MFFs and under existing programmes which are now part of the DEFIS portfolio's, may present baseline values which started earlier than in 2020.

Main outputs in 2023:

Public consultations

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Public consultation on EU legislative initiative on safety, resilience and sustainability of space activities ("EU Space Law")	- Number of responses received	- EU citizens, businesses, civil society, and academia	44 responses received

External communication actions

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Touring exhibition Space for Our Planet	- Number of events organised - Number of attendees [physical and online]	- 10 different locations in different countries - 50.000 attendees	- 12 different locations - 50.000 attendees
Touring of "Copernicus Earth Art" exhibition	- Number of events organised - Number of attendees [physical and online]	- 6 locations in different EU Member States (geographically balanced) - 10.000 attendees	- 12 locations in EU member states Geographically balanced - 40.000 attendees
Promotion of EU Space based opportunities for agriculture: - Berlin International Green Week, Berlin (DE) - International Agriculture Show, Paris (FR)	- Number of events organised - Number of attendees [physical and online]	- Stands and training sessions at 2 agriculture related events in the EU - 30.000 attendees	Participation to 3 events: - Salon International de l'Agriculture, Paris (FR) - DEMOAGRO, Rueda (ES) - EU AGRI Food Days, Brussels (BE) - 638.000 attendees in total on 3 fairs
Organisation of a high-level conference on the benefits of Copernicus for the Planet amid its 25 th Anniversary, Stockholm (SE)	- Number of attendees [physical and online]	- 1.500 attendees (500 onsite + 1.000 online)	- 500 onsite - 2.000 online
Animation of a webpage dedicated to DG DEFIS policies contribution to the Green Deal objective	- Number of visits	- 5.000 visits	- 447 visits

Other important outputs

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Copernicus European State of the Climate Report 2022	Publication of the report	Q2 2023	published

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Annual Ocean State Report	Publication in the "Science" Journal State of the Planet special issue	Q4 2023	Published
Pilot project study for high-cadence monitoring for the EU Green Deal relating to EU Space Programme (Copernicus)	Launch of study contract	Q1 2023	Study kicked off
Contribute to the Commission's Communication on climate and defence	Adoption by the Commission	Q1 2023	JOIN(2023) 19 final

General objective 2: A Europe fit for the digital age

Impact indicator 8: Uptake of space products from the European Space Programme⁹

This indicator is measured in two parts: (1) the percentage of the EU population that have a Galileo enabled device and (2) the number of registered users downloading Copernicus data and information.

Source of the data: European Union Agency for the Space Programme (EUSPA); European Space Agency (ESA); European Organisation for the Exploitation of Meteorological Satellites; Copernicus Service entrusted entities

Baseline (2019)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2022)	(year)		
Share of population with Galileo enabled device: 35% ¹⁰ (estimate)	increase	...	increase	66%
Number of registered users downloading Copernicus data and information: 300 000 ¹¹	increase		increase	1 200 000

⁽⁹⁾ EU28 data. EU27 data not available.

⁽¹⁰⁾ EU 27 data.

⁽¹¹⁾ Worldwide users registered on European Copernicus data access portals.

Specific objective 2.1: Modern and well-functioning EU space-enabled services to support the Union's priorities

Related to spending programme(s):

EU Space programme

Output indicator: Reliability, availability and continuity, of Copernicus Services and data stream¹²

Source of the data: European Space Agency

Baseline (2019)	Interim Milestone (please add as many columns as the number of defined milestones)		Target (2024; less than 44 hours of interruption per month of each Sentinel mission constellation operated by ESA (corresponding to 97% availability)	Latest known results (2023)
	(2022)	(year)		
Availability ¹³ : 94%		...	97% (tbc)	99,72% of CDSE availability over 30 days
Reliability ¹⁴ (tbd)	95% (tbd)		97 % (tbc)	No figure for reliability has yet been defined
Continuity ¹⁵ : (tbc)	95% (tbc)		97% tbc)	No figure for continuity has yet been defined

Result indicator: Availability, accuracy, and continuity of services provided by Galileo and EGNOS separately¹⁶

Source of the data: Galileo and EGNOS programmes

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2022)	(year)		
Galileo availability: 77%	95%		Galileo availability: 99.5%	Better than 99.2% at all user locations and for all frequency combinations

⁽¹²⁾ This indicator is also reported under the Programme Statement for the EU Space Programme, as part of the annual draft general budget of the European Union

⁽¹³⁾ Availability in percentage of time that Copernicus Information and Data products are accessible (tbc)

⁽¹⁴⁾ Reliability in one minus percentage of Copernicus Information and Data products generated that are non-conformant to the Technical Specification (tbc)

⁽¹⁵⁾ Continuity in one minus percentage of Copernicus Information and Data deliveries for which the delay in becoming accessible exceeds the periodicity of that Copernicus Information and Data (tbc).

⁽¹⁶⁾ This indicator is also reported under the Programme Statement for the EU Space Programme, as part of the annual draft general budget of the European Union

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2022)	(year)		
Galileo accuracy: Horizontal positioning accuracy <= 7.5m (95%), Vertical positioning accuracy <= 15m (95%)	Galileo accuracy: Horizontal positioning accuracy <= 5m (95%) Vertical positioning accuracy <= 8m (95%)		Galileo accuracy: Horizontal positioning accuracy <= 4m Vertical positioning accuracy <= 8m	Galileo accuracy: Horizontal accuracy = 1.30m (95%) Vertical accuracy = 2.30m (95%)
Galileo continuity: Not presently defined	...		Galileo continuity: Will be defined in the applicable issue of the OS SDD	No figure for continuity has yet been defined
EGNOS availability: APV-I ¹⁷ : Over 99% of the EU territories with more than 99% of availability. LPV-200 ¹⁸ : over 90% of the EU territories with more than 99% of availability	...		EGNOS availability: APV-I: Over 99% of the EU territories with more than 99% of availability. LPV-200: over 95% of the EU territories with more than 99% of availability.	EGNOS availability: APV-I: 83.76% of the EU territories with more than 99% of availability. LPV-200: over 80% of the EU territories with more than 99% of availability
EGNOS accuracy: - Horizontal (95%): 2 m - Vertical (95%): 3 m	...		EGNOS accuracy: - Horizontal (95%): 1.5 m - Vertical (95%): 2.5 m	EGNOS accuracy: - Horizontal (95%): 1.35 m - Vertical (95%): 1.88 m
EGNOS continuity: APV-I: over 90% of the EU territories with better continuity than 5×10^{-4} / 15 sec. LPV-200: over 80% of the EU territories with better continuity than 5×10^{-4} / 15 sec.	...		EGNOS continuity: APV-I: over 95% of the EU territories with better continuity than 5×10^{-4} / 15 sec. LPV-200: over 85% of the EU territories with better continuity than 5×10^{-4} / 15 sec.	EGNOS continuity: APV-I: over 88.95% of the EU territories with better continuity than 5×10^{-4} / 15 sec. LPV-200: over 83.0% of the EU territories with better continuity than 5×10^{-4} / 15 sec.

⁽¹⁷⁾ APV-I = Approach procedure with vertical guidance, category 1.

⁽¹⁸⁾ LPV-200: Localizer Performance with Vertical guidance to a decision altitude of 200ft.

Result indicator: Availability of GOVSATCOM services¹⁹

Source of the data: EUSPA annual market report on GOVSATCOM

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2022)	(year)		
None. Testing phase, not yet fully operational.		...	Number of countries participating: 27 Capacity requested: TBD	None. Testing phase, not yet fully operational. GOVSATCOM initial services will start to be provided in 2024.

Main outputs in 2023:

New policy initiatives

Output	Indicator	Target	Latest known results (situation on 31/12/2023)

Initiatives linked to regulatory simplification and burden reduction

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Implementing act on IRIS ² portfolio of governmental services, operational requirements for governmental services and detailed rules on the provision of governmental services	Adoption by the Commission	Q1 2023	Commission implementing act adopted on 30 May 2023 OJ L 141, 31.5.2023, p. 44–48 C(2023) 3202 final
Commission implementing decision on adoption of 2023 work programme of the Union Secure Connectivity Programme	Adoption by the Commission	Q1 2023	Commission implementing act adopted on 15 March 2023 C(2023)1776
Commission implementing decision on entrusting budget implementation tasks to the European Union Agency for the Space Programme and the European Space Agency linked to provision of satellite governmental communication services	Adoption by the Commission	Q1 2023	Commission implementing act adopted on 27 July 2023 C(2023) 4895

⁽¹⁹⁾ This indicator is also reported under the Programme Statement for the EU Space Programme, as part of the annual draft general budget of the European Union

Evaluations and fitness checks			
Output	Indicator	Target	Latest known results (situation on 31/12/2023)
EU Space Programme cost-benefit analysis study in preparation of a mid-term evaluation	Launch of the study	Q1 2023 (January)	Completed
External communication actions			
Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Organisation of a launch event for the secure connectivity initiative IRIS ²	Number of attendees [physical and online]	1.000 attendees (300 onsite + 700 online)	Launch event at the European Parliament + Industry Information Day 400 attendees: (200 onsite + 200 online)
Other important outputs			
Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Regulation establishing the Union Secure Connectivity Programme	Adoption by the co-legislators	Q1 2023	Regulation (EU) 2023/588 establishing the Union Secure Connectivity Programme for the period 2023-2027 was adopted on 15 March and entered into force on 20 March 2023. OJ L 79, 17.3.2023, p. 1-39
EU Space Programme study on synergies between the European Defence Fund (EDF) and the EU space policy	Launch of the study	Q1 2023	Study launched
EU Space Programme feasibility study (or studies) to support the implementation of the EU Space Strategy for Security and Defence	Launch of the study(ies)	Q3 2023	Study launched
Global Action on Space	2023 market study updates. Analysis of international market in relation to EU Space Law proposal.	Q2 2023 Q3 2023	Completed Completed

Specific objective 2.2: EU Space Programme maximises socio-economic benefits*Related to spending programme(s): EU Space programme***Impact indicator:** Market share of the European companies in the overall global GNSS market (for receivers)²⁰**Source of the data:** European Union Agency for the Space Programme (EUSPA), Market report

Baseline (2021)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2021)	(year)		
64%	...	increase	70%	64%

Impact indicator: Share of SMEs established in the EU as a proportion of the total value of the contracts relating to the Space Programme²¹**Source of the data:** DG DEFIS, European Union Agency for the Space Programme (EUSPA, European Space Agency accounting department)

Baseline (2021)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2022)	(year)		
0	increase	...	increase	No data available yet

Result indicator: Number of start-ups supported by EU space programmes, including CASSINI initiative and R&D actions**Source of the data:** Contractors organising the activities and participating partners

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2022)	(year)		
			The target was set by estimating the impact of the upcoming actions for startup and scaleup companies under CASSINI, notably CASSINI Business Accelerator, CASSINI Matchmaking, CASSINI Prizes and CASSINI Seed and Growth Funding Facility	
0	22	...	60	Above 200

⁽²⁰⁾ This indicator is also reported under the Programme Statement for the EU Space Programme, as part of the annual draft general budget of the European Union

⁽²¹⁾ This indicator is also reported under the Programme Statement for the EU Space Programme, as part of the annual draft general budget of the European Union

Main outputs in 2023:

Public consultations

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Transition pathway for the aerospace and defence ecosystem	Launch public consultation	Q1 2023	Public consultation between 26 July and 3 November

External communication actions

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Promotion of EU Space , EDF and AZEA opportunities for entrepreneurship and skills development within the ecosystem: - 15 th European Space Conference, Brussels (BE) Paris Air Show, Paris (FR)	- Number of events - Number of attendees [physical and online]	- 2 events - 75.000 attendees	- 2 events: 15 th European Space Conference and 54 th Paris Air Show - 293,500 visitors
Promotion of EU Space based opportunities for entrepreneurship and skills development beyond the ecosystem: - Web Summit (PT) Winter Wonders, Brussels (BE)	- Number of events - Number of attendees [physical and online]	- 2 events - 200.000 attendees	- Participation to Web Summit 2023 only - 80.000 attendees
Organisation of workshops on DG DEFIS-led initiatives to support the Union of Equality	- Number of workshops - Number of attendees [physical and online]	- 4 workshops - 500 attendees	3 workshops in total: 2 at the 15 th European Space Conference + 1 at the EU Space week Sevilla 1500 attendees in total
Animation of a webpage dedicated to DG DEFIS-led policies contribution to the digital age	- Number of visits	- 5.000 visits	221 visits
CASSINI Business Accelerator	- Companies supported	- 40 (Batch #1 and #2)	40 companies supported
Transition pathway for the aerospace and defence ecosystem	- Publication of the transition pathway	- Q3 2023	Public consultation launched Q3 2023

Other important outputs

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Global Action on Space events and webinars	5 (worldwide)	5	5

General objective 3: An Economy that works for people

Impact indicator 11: Public EU and EU Member States investments in space

Source of the data: Euroconsult report 2022 Government Space Programs - Benchmarks, Profiles and Forecasts to 2031

Baseline (2018)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2022)	(year)		
EUR 10 941 million	increase	...	increase	EUR 11 819 million

General objective 4: A Stronger Europe in the world

Impact indicator 12: Value of research and development actions funded by the European Defence Fund

Source of the data: European Commission

Baseline (2019)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2022)	(year)		
EUR 0	increase	...	increase	EUR 829,54 million ⁽²²⁾ EUR 2 billion ⁽²³⁾

⁽²²⁾ This indicator reports value of research and development actions funded by the European Defence Fund implemented in direct and indirect management in EDF 2022 as known at the moment of reporting (end of 2023)

⁽²³⁾ This indicator reports cumulative value of research and development actions funded by the European Defence Fund implemented in direct and indirect management in EDF 2021 and 2022 as known at the moment of reporting (end of 2023)

Specific objective 4.1: Fostered innovation capacity and competitiveness of the European defence industry and strengthened EU defence supply chains due to increased cross-border R&D cooperation involving in particular SMEs and mid-caps

Related to spending programme(s):

European Defence Industrial Development Programme (EDIDP),

European Defence Fund (EDF)

EU Space Programme

Output indicator: Legal entities involved in EDF²⁴

Source of the data: European Commission

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2022)	(year)		
0	increase	...	increase	EDF: 548 ⁽²⁵⁾ 1002 ⁽²⁶⁾

Result indicator: Proportion of budget of EDF allocated to disruptive technologies

Source of the data: European Commission

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2022)	(year)		
0	4%	...	4-8 %	10 % ⁽²⁷⁾ 8 % ⁽²⁸⁾

⁽²⁴⁾ This indicator is also reported under the Programme Performances Statement for the European Defence Fund, as part of the annual draft general budget of the European Union.

⁽²⁵⁾ This indicator reports on unique entities involvement in research and development actions implemented in direct and indirect management in EDF 2022 as known at the moment of reporting (end of 2023).

⁽²⁶⁾ This indicator reports on cumulative number of unique entities involvement in research and development actions implemented in direct and indirect management in EDF 2021 and 2022 as known at the moment of reporting (end of 2023).

⁽²⁷⁾ This indicator reports of the share of budget allocated to disruptive technologies through research and development projects funded by the European Defence Fund implemented in direct and indirect management in 2022 as known at the moment of reporting (end of 2023).

⁽²⁸⁾ This indicator reports of the cumulative share of budget allocated to disruptive technologies through research and development projects funded by the European Defence Fund implemented in direct and indirect management in EDF 2021 and 2022 as known at the moment of reporting (end of 2023).

Output indicator: Share of EDF contracts awarded involving collaboration with to cross-border SME and mid-caps²⁹

Source of the data: European Commission

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2022)	(year)		
0	increase	...	increase	11,45 ⁽³⁰⁾

Main outputs in 2023:

New policy initiatives

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
 EU space strategy for security and defence	Adoption by the Commission	Q1 2023	Joint Communication published on 10 March 2023

External communication actions

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Increase awareness of the achievements of EDF	Number of engagements on social media	300.000 engagements on social media channels	6,981 engagements
Organisation of EDF Info Days, Brussels (BE)	Number of attendees [physical and online]	2.000 attendees	2.000 attendees (~ 800 on site and more than 1200 in hybrid)
Participation in national EDF Info Days with expert speakers with a geographical balance	- Number of workshops - Number of attendees [physical and online]	- 5 events - 500 attendees	3 events: DEFEA Athens (EL), ENDR Zagreb (HR), ENDR Stockholm (SE), 1000 attendees
Promotion of EU's defence industry initiatives at fairs	- Number of attendees	- 10.000 attendees	292.000 attendees (Paris Air Show 2023)

Other important outputs

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
European Defence Industry Reinforcement through common Procurement Act (EDIRPA)	Adoption by the co-legislators	Q1 2023	Adopted

⁽²⁹⁾ This indicator is also reported under the Programme Performances Statement for the European Defence Fund, as part of the annual draft general budget of the European Union.

⁽³⁰⁾ This indicator reports cumulative share of value of projects funded by the European Defence Fund implemented in direct and indirect management in EDF 2021 and 2022 as known at the moment of reporting (end of 2023).

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
2023-2024 European Defence Industry Reinforcement through common Procurement Act (EDIRPA) multiannual work programme	Adoption by Commission pending the adoption of the legislative proposal by co-legislators	Q4 2023	Expected end of Q1 2025
2023 EDF work programme	Adoption by Commission	Q1 2023	Q1 2023
Adoption of the award decision for the EDF 2022 Calls	Adoption by Commission	Q4 2023	Commission finalised signature of Grant Agreements in December 2023
Launching a study to analyse the consequences for the Union and the options at the Union's disposal to fulfil the commitments under the UN Rescue Agreement, the UN Liability Convention and the UN Registration Convention, should the EU declare its acceptance	Launch of the study	Q1 2023	Completed
Launch of EUDIS hackathons, signing of framework and specific contract	Launch of the program	Q4 2023	Implementation of the program started on New 01/01/2024
Launch of the EUIDIS website	Website accessible to public	Q2 2023	Website is live.

General objective 5: Promoting our European way of life

Impact indicator 7: Victims of terrorist attacks

Source of the data: [The Europol Te-Sat report](#)

Baseline (2017)	Interim Milestone		Target (2024)	Latest known results (2021)
	(2022)	(year)		
32 people died as a result of terrorist attacks 157 people were injured	Decrease	...	decrease	2 died as a result of terrorist attacks in the EU. 17 people were injured.

Specific objective 5.1: Security actors have access to EU autonomous tools, space-enabled services, and technologies, needed to build resilience to security threats, safety hazards and crisis situations

Related to spending programme(s):

EU Space Programme,

Horizon 2020/Europe

Baseline (2020)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2022)	(year)		
• GALILEO Public Regulated Service (PRS) Initial Service • EGNOS Safety of Life (SoL) service • GALILEO Search and Rescue (SAR) service • Copernicus security service³¹/ emergency service • Space Surveillance and Tracking (SST)	• GALILEO Public Regulated Service (PRS) initial service • EGNOS Safety of Life (SoL) service • GALILEO Search and Rescue (SAR) service • Copernicus security service/ emergency service • Space Surveillance and Tracking (SST)	...	• GALILEO Public Regulated Service (PRS) Full Operational Capability (FOC)³² • EGNOS Safety of Life (SoL) service • GALILEO Search and Rescue (SAR) service • GALILEO Emergency Warning Service (EWS) • Copernicus security service/ emergency service • Space Surveillance and Tracking (SST) • Space Weather (SWE) • Near Earth Objects (NEO) • GOVSATCOM (Governmental Satellite Communications)	• GALILEO Public Regulated Service (PRS) initial service • EGNOS Safety of Life (SoL) service • GALILEO Search and Rescue (SAR) service with return link feature since 2020. • GALILEO Emergency Warning Service (EWS) is in the service definition stage. • Copernicus security service/ emergency service • EU Space Surveillance and Tracking (SST) collision avoidance service • EU Space Surveillance and Tracking (SST) re-entry analysis service • EU Space Surveillance and Tracking (SST) fragmentation analysis service

⁽³¹⁾ (1) Copernicus Maritime Surveillance Service, (2) Copernicus Border Surveillance Service, (3) Copernicus Support to EU External and Security Actions

⁽³²⁾ The schedule is at risk. The new target date is under assessment

Result indicator: EU Funding for critical technologies for European strategic autonomy in aerospace and defence

Source of the data: DG DEFIS Programmes

Baseline (2014-2020)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2022)	(year)		
EUR 105 million ³³				EUR 10.5 million (space-related activities)

Output indicator: Number of EU launches for the Space Programme (including numbers by type of launchers)³⁴

Source of the data: DG DEFIS, EU Space Programme

Baseline (2021)	Interim Milestone		Target (2024)	Latest known results (2023)
	(2023)	(year)		
0	2 (1 contracted and scheduled, 1 planned)	...	2 (2 launches planned)	1 launch in 2021 (Galileo#L11)

⁽³³⁾ The indicator measures the level of funding allocated from Horizon 2020/Europe to the calls dedicated to critical space technologies as defined in the critical space technologies list established by the joint task force (JTF) of the European Commission, ESA and EDA. The JTF list provides critical technologies, at component or equipment level, that are not available from a European source and for which the unrestricted availability from non-European suppliers cannot be assured. Additional funding for the development of technologies in the JTF list should lead to wider availability of such critical technologies for the EU aerospace and defence systems and accordingly to the European strategic non-dependence.

⁽³⁴⁾ This indicator is also reported under the Programme Statement for the EU Space Programme, as part of the annual draft general budget of the European Union.

Main outputs in 2023:

New policy initiatives

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Commission implementing acts for the definition of the characteristics of the GOVSATCOM service portfolio, operational requirements, and on the sharing and prioritisation governmental services.	Adoption by the Commission	Q1 2023	An implementing act setting out the service portfolio for the Governmental Satellite Communications services was adopted on 30 May 2023. OJ L 141, 31.5.2023, p. 49–56 Implementing act setting out the rules on the sharing and prioritisation of satellite communication capacities, services, and user equipment was adopted on 30 May 2023. OJ L 141, 31.5.2023, p. 57–66 implementing act on the GOVSATCOM security requirements was adopted on 30 May 2023. C(2023) 3204
Commission implementing act on SST general security requirements	Adoption by the Commission	Q4 2023	Final adoption of the implementing act is expected by Q1 2024.

External communication actions

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Promotion of DG DEFIS Policies at EU Open Doors Day	Number of attendees [physical and online]	5.000 attendees	15.000 attendees
Partnership with Brussels city to promote EU Space-based opportunities at Winter Wonders through interactive exhibition and info sessions	Number of attendees [physical and online]	500.000 attendees	No participation to Winter Wonders in 2023.

Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Promotion of EU Space / Galileo SAR/ Copernicus Emergency Management Service activation	- Number of engagement/impressions on social media - Number of attendees [physical and online] - Number of engagement/impressions on social media - Number of events - Number of journalists/influencers following the event	- 3.000.000 engagements/impressions on social media channels - 5.000 attendees - 1.000.000 engagements/impressions on social media channels - 1 live demonstration organised - 20 journalists/influencers	- 6,119,512 impressions and 160,909 engagements for EU Space Within: - 16,613 Galileo Related - 488,388 Copernicus related
Animation of a dedicated webpage on DG DEFIS Europa platform promoting DG DEFIS contribution to this objective	- Number of visits	- 5.000 visits	- 11.407 visits
Other important outputs			
Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Study "Improving access to test facilities for EU new space transportation solutions"	Launch of the study	Q4 2023	Completed

ANNEX 3: Draft annual accounts and financial reports

TABLE 1: OUTTURN ON COMMITMENT APPROPRIATIONS IN 2023 (in Mio €) for DG DEFIS					
			Commitment appropriations authorised*	Commitments made	%
			1	2	3=2/1
Title 01 Research and Innovation					
01	01 01	Support administrative expenditure of the "Research and Innovation" cluster	3,60	1,40	38,93 %
	01 02	Horizon Europe	154,77	151,90	98,14 %
	01 20	Pilot projects, preparatory actions, prerogatives and other actions	2,00	2,00	100,00 %
Total Title 01			160,37	155,30	96,84 %
Title 03 Single Market					
03	03 02	Single Market Programme	0,00	0,00	0,00 %
	03 20	Pilot projects, preparatory actions, prerogatives and other actions	0,00	0,00	0,00 %
Total Title 03			0,00	0,00	0,00 %
Title 04 Space					
04	04 01	Support administrative expenditure of the 'Space' cluster	7,07	6,39	90,38 %
	04 02	Union Space Programme	2.160,08	2.123,87	98,32 %
	04 03	Union Secure Connectivity Programme	156,05	156,05	100,00 %
	04 10	Decentralised agencies	77,08	76,92	99,80 %
Total Title 04			2.400,28	2.363,23	98,46 %
Title 08 Agriculture and Maritime Policy					
08	08 02	European Agricultural Guarantee Fund (EAGF)	2,35	2,35	100,00 %
Total Title 08			2,35	2,35	100,00 %
Title 09 Environment and Climate Action					
09	09 02	Programme for the Environment and Climate Action (LIFE)	0,00	0,00	0,00 %
	09 20	Pilot projects, preparatory actions, prerogatives and other actions	0,00	0,00	0,00 %
Total Title 09			0,00	0,00	0,00 %
Title 13 Defence					
13	13 01	Support administrative expenditure of the "Security and Defence" cluster	2,75	2,75	100,00 %
	13 02	European Defence Fund (EDF) ¿ Non-research	627,94	627,94	100,00 %
	13 03	European Defence Fund (EDF) ¿ Research	313,06	313,06	100,00 %
	13 05	Union Secure Connectivity Programme	30,00	30,00	100,00 %
	13 06	Short-term Defence instrument on common procurement	0,00	0,00	0,00 %
	13 07	Defence Industrial Reinforcement Instrument	156,03	156,03	100,00 %

	13 20	Pilot projects, preparatory actions, prerogatives and other actions	0,00	0,00	0,00 %
Total Title 13			1.129,78	1.129,78	100,00 %
Title 14 External Action					
14	14 02	Neighbourhood, Development and International Cooperation Instrument & Global Europe (NDICI & Global Europe)	0,00	0,00	0,00 %
Total Title 14			0,00	0,00	0,00 %
Title 20 Administrative expenditure of the European Commission					
20	20 02	Other staff and expenditure relating to persons	0,02	0,02	99,25 %
Total Title 20			0,02	0,02	99,25 %
Title 30 Reserves					
30	30 01	Reserves for administrative expenditure	0,00	0,00	0,00 %
	30 02	Reserves for operational expenditure	0,00	0,00	0,00 %
Total Title 30			0,00	0,00	0,00 %
Total Excluding NGEU			3.692,81	3.650,68	98,86 %

Title 01 Research and Innovation					
01	01 02	Horizon Europe	25,08	25,08	100,00 %
Total Title 01			25,08	25,08	100,00 %
Total NGEU Only			25,08	25,08	100,00 %

Total DG DEFIS			3.717,88	3.675,76	98,87 %
-----------------------	--	--	-----------------	-----------------	----------------

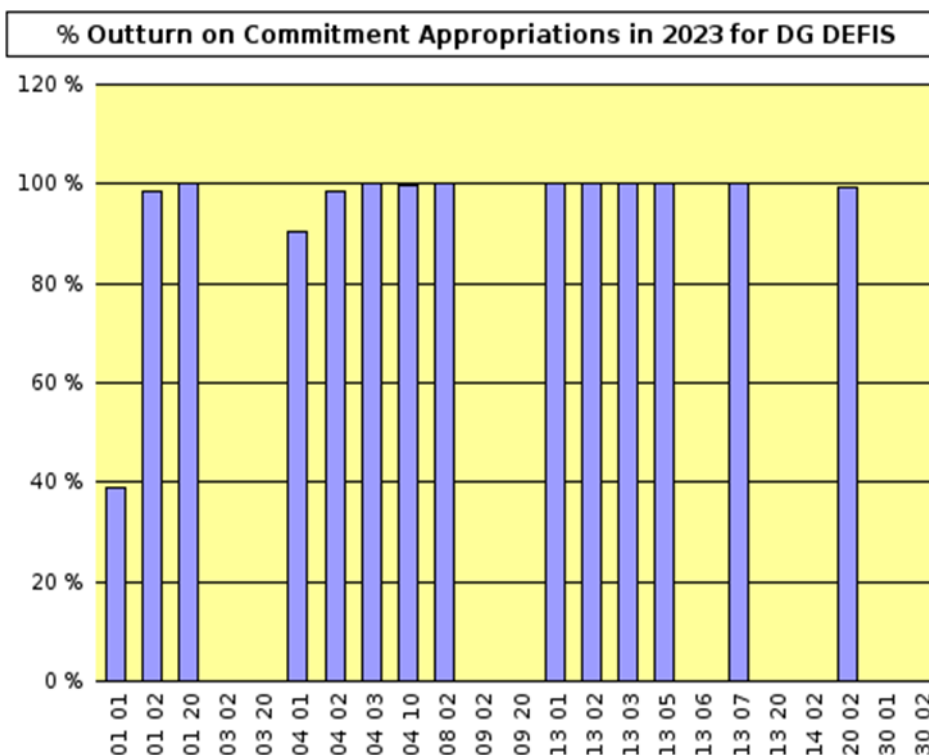


TABLE 2: OUTTURN ON PAYMENT APPROPRIATIONS in 2023 (in Mio €) for DG DEFIS					
			Payment appropriations authorised *	Payments made	%
			1	2	3=2/1
Title 01 Research and Innovation					
01	01 01	Support administrative expenditure of the "Research and Innovation" cluster	4,32	0,71	16,43 %
	01 02	Horizon Europe	129,24	91,32	70,67 %
	01 20	Pilot projects, preparatory actions, prerogatives and other actions	1,17	1,17	99,99 %
Total Title 01			134,73	93,21	69,18%
Title 03 Single Market					
03	03 02	Single Market Programme	0,37	0,37	99,98 %
	03 20	Pilot projects, preparatory actions, prerogatives and other actions	0,47	0,47	100,00 %
Total Title 03			0,84	0,84	99,99%
Title 04 Space					
04	04 01	Support administrative expenditure of the "Space" cluster	11,42	5,47	47,95 %
	04 02	Union Space Programme	2.371,99	2.175,28	91,71 %
	04 03	Union Secure Connectivity Programme	0,00	0,00	0,00 %
	04 10	Decentralised agencies	77,08	76,92	99,80 %
Total Title 04			2.460,49	2.257,68	91,76%
Title 08 Agriculture and Maritime Policy					
08	08 02	European Agricultural Guarantee Fund (EAGF)	3,35	3,35	100,00 %
Total Title 08			3,35	3,35	100,00%
Title 09 Environment and Climate Action					
09	09 02	Programme for the Environment and Climate Action (LIFE)	0,26	0,26	100,00 %
	09 20	Pilot projects, preparatory actions, prerogatives and other actions	0,00	0,00	0,00 %
Total Title 09			0,26	0,26	100,00%
Title 13 Defence					
13	13 01	Support administrative expenditure of the "Security and Defence" cluster	3,67	1,50	40,89 %
	13 02	European Defence Fund (EDF) - Non-research	358,82	358,82	100,00 %
	13 03	European Defence Fund (EDF) - Research	165,25	165,25	100,00 %
	13 05	Union Secure Connectivity Programme	0,00	0,00	0,00 %
	13 06	Short-term Defence instrument on common procurement	0,00	0,00	0,00 %
	13 07	Defence Industrial Reinforcement Instrument	0,00	0,00	0,00 %
	13 20	Pilot projects, preparatory actions, prerogatives and other actions	1,48	1,48	100,00 %
Total Title 13			529,22	527,05	99,59%
Title 14 External Action					
14	14 02	Neighbourhood, Development and International Cooperation Instrument - Global Europe (NDICI - Global Europe)	2,20	2,20	100,00 %
Total Title 14			2,20	2,20	100,00%
Title 20 Administrative expenditure of the European Commission					
20	20 02	Other staff and expenditure relating to persons	0,03	0,01	49,05 %
Total Title 20			0,03	0,01	49,05%
Title 30 Reserves					
30	30 01	Reserves for administrative expenditure	0,00	0,00	0,00 %
	30 02	Reserves for operational expenditure	0,00	0,00	0,00 %
Total Title 30			0,00	0,00	0,00%
Total Excluding NGEU			3.131,11	2.884,60	92,13%

Title 01 Research and Innovation					
01	01 02	Horizon Europe	19,24	19,24	100,00 %
Total Title 01			19,24	19,24	100,00%
Total NGEU Only			19,24	19,24	100,00%
Total DG DEFIS			3.150,35	2.903,84	92,18 %

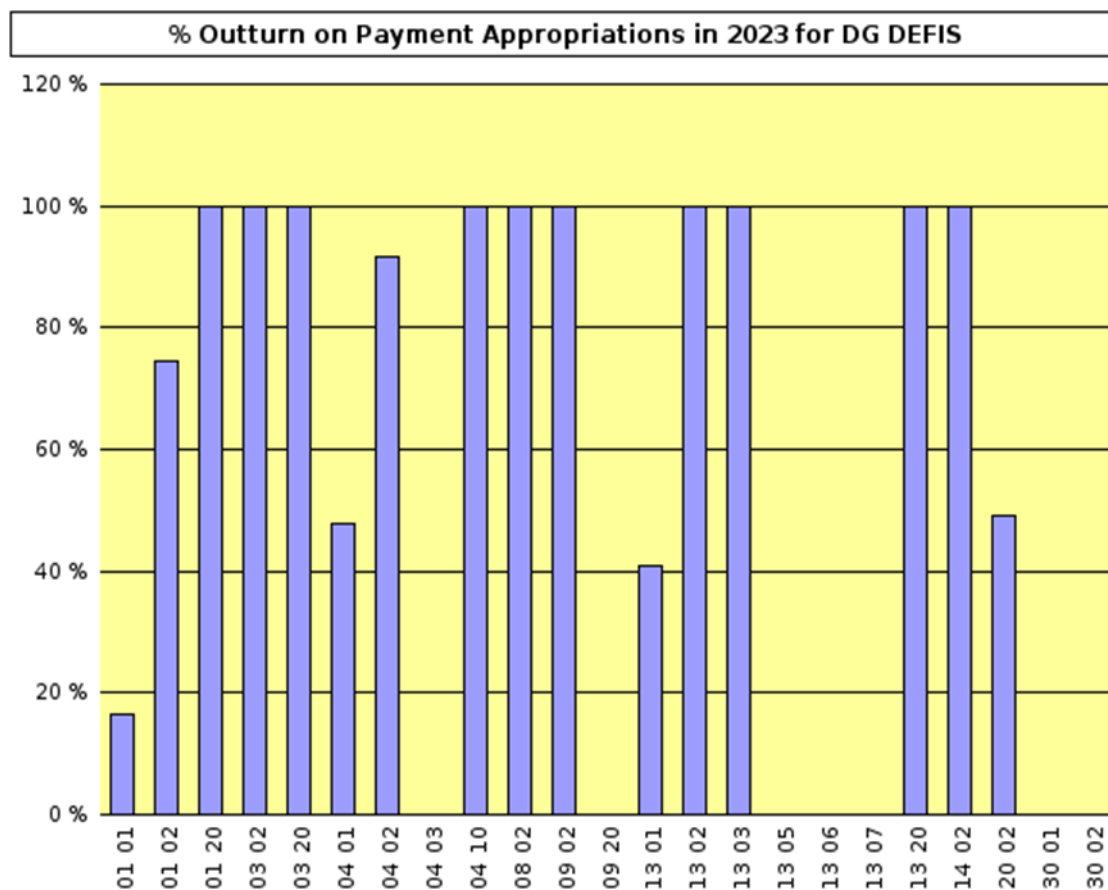


TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2023 (in Mio €) for DG DEFIS									
Chapter			Commitments to be settled				Commitment s to be settled from financial years previous to 2022	Total of commitments to be settled at end of financial year 2023	Total of commitment s to be settled at end of financial year 2022
			Commitment s	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
01	01 01	Support administrative expenditure of the "Research and Innovation" cluster	1,40	0,00	1,40	100,00%	0,00	1,40	0,74
	01 02	Horizon Europe	151,90	28,65	123,25	81,14%	154,30	277,55	219,30
	01 20	Pilot projects, preparatory actions, prerogatives and other actions	2,00	0,00	2,00	100,00%	1,26	3,26	2,48
Total Title 01			155,30	28,65	126,65	81,55%	155,56	282,21	222,53
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2023 (in Mio €) for DG DEFIS									
Chapter			Commitments to be settled				Commitment s to be settled from financial years previous to 2022	Total of commitments to be settled at end of financial year 2023	Total of commitment s to be settled at end of financial year 2022
			Commitment s	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
03	03 02	Single Market Programme	0,00	0,00	0,00	0,00%	0,35	0,35	0,72
	03 20	Pilot projects, preparatory actions, prerogatives and other actions	0,00	0,00	0,00	0,00%	0,00	0,00	0,51
Total Title 03			0,00	0,00	0,00	0,00%	0,35	0,35	1,22
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2023 (in Mio €) for DG DEFIS									
Chapter			Commitments to be settled				Commitment s to be settled from financial years previous to 2022	Total of commitments to be settled at end of financial year 2023	Total of commitment s to be settled at end of financial year 2022
			Commitment s	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
04	04 01	Support administrative expenditure of the "Space" cluster	6,39	1,69	4,70	73,58%	0,00	4,70	4,36
	04 02	Union Space Programme	2.123,87	1.294,90	828,97	39,03%	479,18	1.308,15	1.359,97
	04 03	Union Secure Connectivity Programme	156,05	0,00	156,05	100,00%	0,00	156,05	0,00
	04 10	Decentralised agencies	76,92	56,90	20,02	26,03%	0,00	20,02	20,02
Total Title 04			2.363,23	1.353,48	1.009,74	42,73%	479,18	1.488,93	1.384,35
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2023 (in Mio €) for DG DEFIS									
Chapter			Commitments to be settled				Commitment s to be settled from financial years previous to 2022	Total of commitments to be settled at end of financial year 2023	Total of commitment s to be settled at end of financial year 2022
			Commitment s	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
08	08 02	European Agricultural Guarantee Fund (EAGF)	2,35	0,65	1,70	72,34%	0,00	1,70	2,70
	Total Title 08		2,35	0,65	1,70	72,34%	0,00	1,70	2,70
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2023 (in Mio €) for DG DEFIS									
Chapter			Commitments to be settled				Commitment s to be settled from financial years previous to 2022	Total of commitments to be settled at end of financial year 2023	Total of commitment s to be settled at end of financial year 2022
			Commitment s	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
09	09 02	Programme for the Environment and Climate Action (LIFE)	0,00	0,00	0,00	0,00%	0,60	0,60	0,90
	09 20	Pilot projects, preparatory actions, prerogatives and other actions	0,00	0,00	0,00	0,00%	0,89	0,89	0,99
Total Title 09			0,00	0,00	0,00	0,00%	1,49	1,49	1,89

TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2023 (in Mio €) for DG DEFIS									
Chapter			Commitments to be settled				Commitment s to be settled from financial years previous to 2022	Total of commitments to be settled at end of financial year 2023	Total of commitment s to be settled at end of financial year 2022
			Commitment s	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
01	01 02	Horizon Europe	25,08	0,00	25,08	100,00%	25,29	50,36	44,53
Total Title 01			25,08	0,00	25,08	100,00%	25,29	50,36	44,53
Total NGEU Only			25,08	0,00	25,08	100,00%	25,29	50,36	44,53
Total for DG DEFIS			3.675,76	1.438,74	2.237,02	60,86 %	1.707,11	3.944,13	3.176,11
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2023 (in Mio €) for DG DEFIS									
Chapter			Commitments to be settled				Commitment s to be settled from financial years previous to 2022	Total of commitments to be settled at end of financial year 2023	Total of commitment s to be settled at end of financial year 2022
			Commitment s	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
13	13 01	Support administrative expenditure of the "Security and Defence" cluster	2,75	0,75	2,00	72,78%	0,00	2,00	0,91
	13 02	European Defence Fund (EDF) & Non-research	627,94	55,00	572,94	91,24%	722,16	1.295,10	1.025,99
	13 03	European Defence Fund (EDF) & Research	313,06	0,20	312,87	99,94%	318,05	630,92	483,28
	13 05	Union Secure Connectivity Programme	30,00	0,00	30,00	100,00%	0,00	30,00	0,00
	13 06	Short-term Defence instrument on common procurement	0,00	0,00	0,00	0,00%	0,00	0,00	0,00
	13 07	Defence Industrial Reinforcement Instrument	156,03	0,00	156,03	100,00%	0,00	156,03	0,00
	13 20	Pilot projects, preparatory actions, prerogatives and other actions	0,00	0,00	0,00	0,00%	0,49	0,49	1,97
Total Title 13			1.129,78	55,94	1.073,84	95,05%	1.040,71	2.114,55	1.512,15
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2023 (in Mio €) for DG DEFIS									
Chapter			Commitments to be settled				Commitment s to be settled from financial years previous to 2022	Total of commitments to be settled at end of financial year 2023	Total of commitment s to be settled at end of financial year 2022
			Commitment s	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
14	14 02	Neighbourhood, Development and International Cooperation Instrument & Global Europe (NDICI & Global Europe)	0,00	0,00	0,00	0,00%	4,53	4,53	6,73
Total Title 14			0,00	0,00	0,00	0,00%	4,53	4,53	6,73
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2023 (in Mio €) for DG DEFIS									
Chapter			Commitments to be settled				Commitment s to be settled from financial years previous to 2022	Total of commitments to be settled at end of financial year 2023	Total of commitment s to be settled at end of financial year 2022
			Commitment s	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
20	20 02	Other staff and expenditure relating to persons	0,02	0,01	0,01	67,99%	0,00	0,01	0,01
Total Title 20			0,02	0,01	0,01	67,99%	0,00	0,01	0,01
TABLE 3 : BREAKDOWN OF COMMITMENTS TO BE SETTLED AT 31/12/2023 (in Mio €) for DG DEFIS									
Chapter			Commitments to be settled				Commitment s to be settled from financial years previous to 2022	Total of commitments to be settled at end of financial year 2023	Total of commitment s to be settled at end of financial year 2022
			Commitment s	Payments	RAL	% to be settled			
			1	2	3=1-2	4=1-2/1	5	6=3+5	7
30	30 01	Reserves for administrative expenditure	0,00	0,00	0,00	0,00%	0,00	0,00	0,00
	30 02	Reserves for operational expenditure	0,00	0,00	0,00	0,00%	0,00	0,00	0,00
Total Title 30			0,00	0,00	0,00	0,00%	0,00	0,00	0,00
Total Excluding NGEU			3.650,68	1.438,74	2.211,94	60,59%	1.681,82	3.893,77	3.131,58

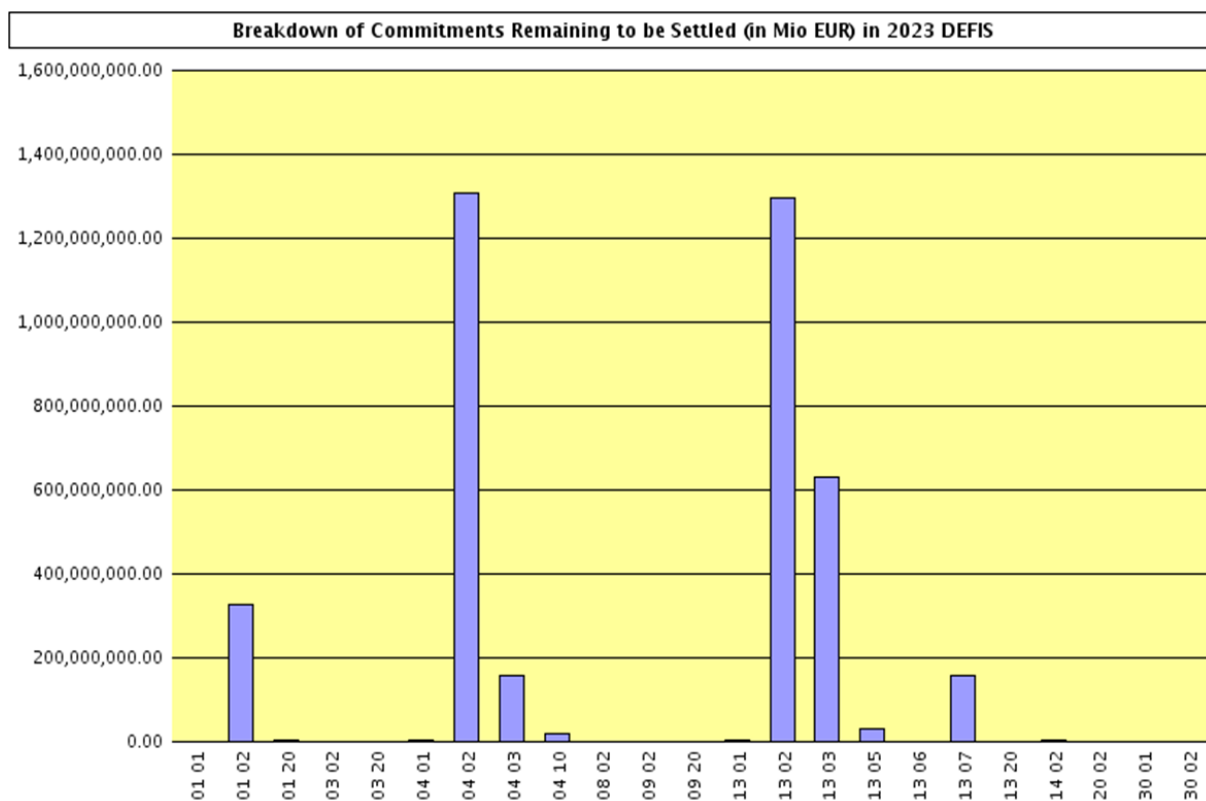


TABLE 4 : BALANCE SHEET for DG DEFIS

BALANCE SHEET	2023	2022
A.I. NON CURRENT ASSETS	9.391.935.286,69	9.010.244.453,55
A.I.1. Intangible Assets	1.630.098,24	2.188.989,06
A.I.2. Property, Plant and Equipment	8.957.163.096,70	8.483.638.182,34
A.I.5. Non-Current Pre-Financing	433.142.091,75	524.417.282,15
A.II. CURRENT ASSETS	3.088.653.826,94	2.630.491.835,46
A.II.2. Current Pre-Financing	3.087.933.232,19	2.630.491.835,46
A.II.3. Curr Exch Receiv & Non-Ex Recoverables	720.594,75	0,00
ASSETS	12.480.589.113,63	11.640.736.289,01
P.II. CURRENT LIABILITIES	-49.561.430,07	-36.632.626,30
P.II.4. Current Payables	-25.464.373,91	-717.299,24
P.II.5. Current Accrued Charges & Defrd Income	-24.097.056,16	-35.915.327,06
LIABILITIES	-49.561.430,07	-36.632.626,30
NET ASSETS (ASSETS less LIABILITIES)	12.431.027.683,56	11.604.103.662,71

Non-allocated central (surplus)/deficit*	-18.094.937.174,20	-15.588.012.046,97
P.III.2. Accumulated Surplus/Deficit	5.663.909.490,64	3983908384
TOTAL DG DEFIS	0,00	0,00

TABLE 5 : STATEMENT OF FINANCIAL PERFORMANCE for DG DEFIS

STATEMENT OF FINANCIAL PERFORMANCE	2023	2022
II.1 REVENUES	-339.187.412,33	-368.246.252,15
II.1.1. NON-EXCHANGE REVENUES	-339.135.209,71	-373.659.751,51
II.1.1.8. OTHER NON-EXCHANGE REVENUES	-339.135.209,71	-373.659.751,51
II.1.2. EXCHANGE REVENUES	-52.202,62	5.413.499,36
II.1.2.1. FINANCIAL INCOME	-841.365,77	
II.1.2.2. OTHER EXCHANGE REVENUE	789.163,15	5.413.499,36
II.2. EXPENSES	2.353.482.465,12	2.048.247.358,53
II.2. EXPENSES	2.353.482.465,12	2.048.247.358,53
II.2.11.OTHER EXPENSES	791.237.658,42	903.999.097,22
II.2.2. EXP IMPL BY COMMISS&EX.AGENC. (DM)	440.255.970,51	177.432.543,89
II.2.3. EXP IMPL BY OTH EU AGENC&BODIES (IM)	560.044.623,11	503.804.865,84
II.2.4. EXP IMPL BY 3RD CNTR & INT ORG (IM)	518.775.240,21	427.031.314,25
II.2.5. EXP IMPL BY OTHER ENTITIES (IM)	43.168.972,87	35.979.537,33
STATEMENT OF FINANCIAL PERFORMANCE	2.014.295.052,79	1.680.001.106,38

TABLE 5bis : OFF BALANCE SHEET for DG DEFIS

OFF BALANCE	2023	2022
OB.1. Contingent Assets	94.966.071,64	73.015.814,22
GR for pre-financing	94.966.071,64	73.015.814,22
OB.3. Other Significant Disclosures	-6.635.070.350,37	-7.029.940.775,61
OB.3.2. Comm against app. not yet consumed	-3.159.915.105,14	-3.159.915.105,14
OB.3.3.21. LC - Horizon EU	-589.154.754,24	-322.104.754,24
OB.3.3.4. Galileo programme	-2.886.000.490,99	-3.547.920.916,23
OB.3.3.5. GMES programme COPERNICUS	0,00	
OB.4. Balancing Accounts	5.500.862.528,73	5.917.683.211,39
OB.4. Balancing Accounts	5.500.862.528,73	5.917.683.211,39
OFF BALANCE	-1.039.241.750,00	-1.039.241.750,00

TABLE 6 : PAYMENT TIMES FOR DG DEFIS

Legal Times									
Maximum Payment Time (Days)	Total Nbr of Payments	Nbr of Payments within Time Limit	Percentage	Average Payment Times (Days)	Nbr of Late Payments	Percentage	Average Payment Times (Days)	Late Payments Amount	Percentage
30	395	394	99,75 %	10,85	1	0,25 %	39,00	1.862,11	0, %
60	74	74	100,00 %	22,54				0,00	0, %
90	34	34	100,00 %	64,65				0,00	0, %
Total Number of Payments	503	502	99,80 %		1	0,20 %		1862,11	0, %
Average Net Payment Time	16,2584493			16,21			39,00		
Average Gross Payment Time	24,34393638			24,31076			41		

Suspensions							
Average Report Approval Suspension	Average Payment Suspension Days	Number of Suspended Payments	% of Total Number	Total Number of Payments	Amount of Suspended Payments	% of Total Amount	Total Paid Amount
0	63	65	12,92 %	503	116.557.402,91	4,01 %	2.903.806.346,49

TABLE 7 : SITUATION ON REVENUE AND INCOME in 2023 for DG DEFIS

Chapter		Revenue and income recognized			Revenue and income cashed from			Outstanding balance
		Current year RO	Carried over RO	Total	Current Year RO	Carried over RO	Total	
		1	2	3=1+2	4	5	6=4+5	
33	Other administrative revenue	2.001.764,65	0,00	2.001.764,65	2.001.764,65	0,00	2.001.764,65	0,00
40	Revenue from investments and accounts	841.365,77	0,00	841.365,77	841.365,77	0,00	841.365,77	0,00
60	Single market, innovation and digital	471.529,02	0,00	471.529,02	179.768,18	0,00	179.768,18	291.760,84
64	Security and defence	428.833,91	0,00	428.833,91	0,00	0,00	0,00	428.833,91
66	Other contributions and refunds	59.593.617,60	0,00	59.593.617,60	59.593.617,60	0,00	59.593.617,60	0,00
Total DG DEFIS		63.337.110,95	0,00	63.337.110,95	62.616.516,20	0,00	62.616.516,20	720.594,75

TABLE 8 : FINANCIAL IMPACT OF EX-ANTE AND EX-POST CONTROLS in 2023 for DG DEFS

EX-ANTE CONTROLS BY TRANSACTION	Irregularity	Total ex-ante amounts
NON ELIGIBLE IN COST CLAIMS	5.131.932,71	5.131.932,71
CREDIT NOTES	186.592,48	186.592,48
RECOVERY ORDERS ON PRE-FINANCING	0,00	0,00
Sub-Total	5.318.525,19	5.318.525,19

EX-POST CONTROLS BY TRANSACTION	Irregularity	Total ex-post amounts
RECOVERY ORDERS OTHER THAN ON PRE-FINANCING	0,00	0,00
INCOME LINES IN INVOICES	0,00	0,00
Sub-Total	0,00	0,00
GRAND TOTAL (EX-ANTE + EX-POST)	5.318.525,19	5.318.525,19

TABLE 9: AGEING BALANCE OF RECOVERY ORDERS AT 12/31/2023 for DG DEFS

	Number at 1/1/2023 1	Number at 12/31/2023	Evolution	Open Amount (Eur) at 1/1/2023 1	Open Amount (Eur) at 12/31/2023	Evolution
2023		2			720.594,75	
		2			720.594,75	

TABLE 10 :Recovery Order Waivers >= 60 000 € in 2023 for DG DEFS

Waiver Central Key	Linked RO Central Key	RO Accepted Amount (Eur)	LE Account Group	Commission Decision	Comments
-----------------------	--------------------------	-----------------------------	------------------	------------------------	----------

Total DG DEFS	
---------------	--

Number of RO waivers	
----------------------	--

There are no waivers below 60 000 €

TABLE 11 : Negotiated Procedures in 2023 for DG DEFS

Negotiated Procedure Legal base	Number of Procedures	Amount (€)
Total		

All the contracts for the 6 launched negotiated procedures have been signed and no new negotiated procedures have been initiated this year.

TABLE 12 : Summary of Procedures in 2023 for DG DEFIS

Internal Procedures > € 60,000

Procedure Legal base	Number of Procedures	Amount (€)
Open procedure (FR 164 (1)(a))	8	18.561.350,00
Total	8	18.561.350,00

TABLE 13 : BUILDING CONTRACTS in 2023 for DG DEFIS

N/A

TABLE 14 : CONTRACTS DECLARED SECRET in 2023 for DG DEFIS

N/A

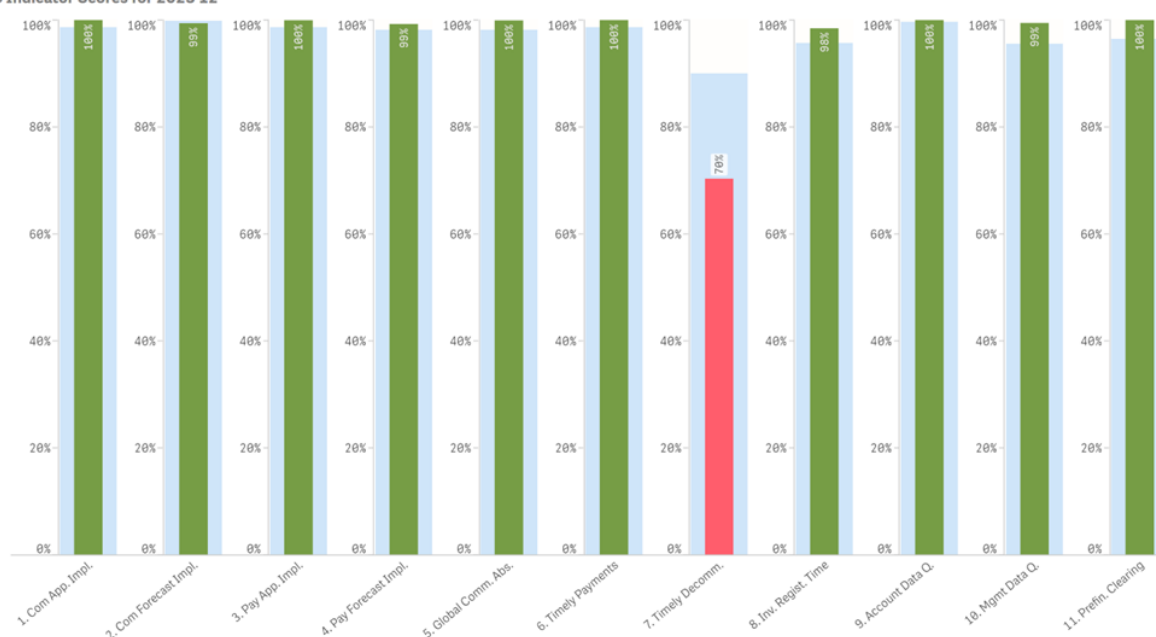
TABLE 15 : FPA duration exceeds 4 years - DG DEFIS

TABLE 16 : Commitments co-delegation type 3 in 2023 for DG DEFIS

N/A

ANNEX 4: Financial scorecard

DEFIS Indicator Scores for 2023 12



For each indicator the light blue bar denotes the EC Score.

Indicator	Objective	Comment ⁽³⁵⁾	DEFIS Score	EC Score
1. Commitment Appropriations Implementation	Ensure efficient use of commitment appropriations expiring at the end of Financial Year		100%	99%
2. Commitment Forecast Implementation	Ensure the cumulative alignment of the commitment implementation with the commitment forecast in a financial year		99%	100%
3. Payment Appropriations Implementation	Ensure efficient use of payment appropriations expiring at the end of Financial Year		100%	99%
4. Payment Forecast Implementation	Ensure the cumulative alignment of the payment implementation with the payment forecast in a financial year		99%	98%
5. Global	Ensure efficient use of		100%	98%

⁽³⁵⁾ An explanation behind the indicator result can be provided, e.g. the comment about the achievement itself, reference to the whole Commission performance (better or worse), reasons behind this achievement. The comment is mandatory for the 'Timely payments' indicator. For the rest of indicators the comment is mandatory only if the score is equal or below the target of 80%.

Commitment Absorption ⁽³⁶⁾	already earmarked commitment appropriations (at L1 level)			
6. Timely Payments	Ensure efficient processing of payments within the legal deadlines		100%	99%
7. Timely Decommittments	Ensure efficient decommitment of outstanding RAL at the end of commitment life cycle		70%	90%
8. Invoice Registration Time	Monitor the accounting risk stemming from late registration of invoices in the central accounting system ABAC		98%	96%
9. Accounting Data Quality	Ensure the good data quality of ABAC transactions with the focus on fields having a primary impact on the accounts		100%	100%
10. Management Data Quality	Ensure the good data quality of ABAC transactions with the focus on fields having a primary impact on the management decisions		99%	96%
11. Timely Invoice PF clearing	Ensure efficient clearing by invoices of prefinancing payments within the invoice payment time limit		100%	100%

The timely decommitments indicator shows a score lower than the Commission score because the focus was put on budget execution. DG DEFIS will further scrutinise this indicator in 2024.

⁽³⁶⁾ Due to technical limitation: 1. the indicator does not take into account the Com L1 Consumption between the FDC ILC date and the FA FDI allowed as an exception in the external actions for Com L1 of type GF, i.e. with Financing Agreement, under the FR2018 Article 114.2. 2. it is technically not possible to exclude the decommitment of RAL (C8) which is subsequently re-committed for a new purpose. As a result, the actual Indicator score may be slightly higher than the one reported for DGs using the GF commitments.

ANNEX 5: Materiality criteria

Without prejudice of maintaining a reservation for its reputational reasons if applicable.

The present document details the way DEFIS assesses the level of errors in its annual financial statements and the definition of the level of misstatement that is considered as quantitatively material. The overall control objective is to ensure that the residual error rate affecting the relevant expenditure of 2023 remains below 2%.

DEFIS's expenditure is composed of (in order of importance), indirectly managed procurement (space) and grants (H2020, Horizon Europe), directly managed grants (EDIDP, EDF) and other direct spending mostly of an administrative nature. The error rate affecting payments is estimated yearly and per management system, following a methodology that considers the risk associated to the type of expenditure (in terms of probability and final financial impact).

DEFIS managed in 2023 financial operations under GNSS (Galileo, Egnos), Copernicus, H2020, Horizon Europe and other programmes such as EDF and EDIDP. Considering that the biggest part of DEFIS's yearly expenditure is related to indirectly managed Space Delegation agreements, the following section focusses on this specific management system.

A. Space programmes (GNSS, Copernicus)

The assessment of the effectiveness of the different programmes' control system is based on ex-ante verification and on ex-post audits' results. The effectiveness is expressed in terms of detected and residual error rate, calculated from the best available estimates.

Assurance on the efficient use of delegated fund is obtained through the following elements:

- Before signing a Contribution agreement (Delegation agreement under previous MFF), the Entrusted Entity undergoes a pillar assessment on its internal control environment.
- Pre-financing payments are subject to ex-ante operational and financial verification of the quarterly/semestrial and annual implementation reports (respectively QIRs/SIRs and AIRs) provided by entrusted entities; assessing the reliability of budgetary data; keeping an up to date overview of commitments and payments forecasted and executed; ensuring that actual and forecasted expenses remain within the allocated budget; checking actual expenditure versus forecast, and updating cash needs and level of commitments; developing a long-term financial planning covering the full MFF; verifying consistency of figures and challenging costs reported based on information provided; justifying acceptance of costs and clearings, analysing the schedule, its credibility and challenging it, if needed; analysing the risks and the effectiveness of the mitigation actions proposed; analysing the KPIs and ensuring they are in the limits requested by the programme.
- In depth ex-ante controls of accounting data, ex-ante checks of reported costs on assets at year end (review of status of contracts)

- Ex-post audits performed by DG DEFIS on annual declared cost. For ESA and EUSPA, most Annual Implementation Reports under the different programmes are audited every year. The other Entrusted Entities are audited “at least” every two years.

The errors detected during the audits have no impact on the legality and regularity of the amounts paid to the entities, because final annual eligible costs, considering audit adjustments, are cleared from the total outstanding pre-financing amount.

The error rates used for the calculation of the amount at risk at payments for each programme are the detected error rates stemming from the finalized ex-post audits performed for the respective year. The detected error rate is calculated as a comparison between the errors and the amount of the audited sample of the AIR. As all errors are corrected through adjustments in the clearing, the detected error rate for Space programmes is equal to the residual error rate.

DG DEFIS considers that the error rates detected by its audits are a reliable indicator for the legality and regularity of the non-audited transactions. Furthermore, based on its monitoring and supervision, DG DEFIS considers that the level of error remains relatively stable over the years. Even if the error rate happens to be very low DG DEFIS decided to use an error rate of 0.5% as a conservative approach.

B. Research framework programmes – common aspects

This Annex provides a detailed explanation on how the Authorising Officer by Delegation defined the materiality threshold as a basis for determining whether significant weaknesses should be subject to a formal reservation to his/her declaration.

Introduction

Deciding on whether a weakness is significant is a **matter of judgement** by the Authorising Officer by Delegation, who remains responsible for the declaration of assurance, including any reservations to it. In doing so, he/she should **identify the overall impact of a weakness** and **judge whether it is material** enough so that the non-disclosure of the weakness is likely to have an influence on the decisions or conclusions of the users of the declaration. The benchmark for this judgement is the materiality criteria which the AOD sets when designing the internal control system under his/her responsibility. For DG R&I, the materiality of residual weaknesses identified (i.e. after mitigating and corrective measures) is assessed based on qualitative and/or quantitative criteria, in line with the instructions for the preparation of the Annual Activity Report.

The **qualitative assessment** includes an analysis of the causes and the types of error (including whether they are repetitive) to conclude on the nature, context and/or scope of the weaknesses identified. This may refer to significant control system weaknesses or critical issues reported by the Directors, the Authorising Officers by Sub-Delegation, the European

Court of Auditors (ECA), the Internal Audit Service (IAS), DG BUDG or OLAF. Also, the duration and any mitigating controls or corrective actions are taken into consideration.

The **quantitative assessment** aims at estimating any financial impact ("amount at risk") resulting from the errors detected. DG R&I has set the materiality level for each distinct research framework programme with coherent risk characteristics for the amount at risk over the programming period. This analysis and the conclusions are presented concisely in the body of the Annual Activity report.

Chapter A – Qualitative criteria for defining significant weaknesses

For all methods of implementation under its operational budget, the different parameters relevant in DG R&I for determining significant weaknesses are the following ones:

- **Significant control system weaknesses**

Control system weaknesses (whether this is in a system operated by the Commission or by a third party) may be identified by management itself (for example through ex-post audits or through the assessment of the effectiveness of internal control systems), by internal or external auditors or by third party control instances. They may relate to the design or operational effectiveness of a control or of an entire system.

- **Critical issues outlined by the European Court of Auditors, the Internal Audit Service, DG BUDG and OLAF.**

Any critical recommendations made by the European Court of Auditors, the IAS, DG BUDG or OLAF, which have not been effectively addressed should be assessed in terms of their significance. Here, the term "critical recommendation" is used in a wider sense; it includes those recommendations labelled by the auditor as "critical" as well as those not labelled at all which is assessed as having a critical impact on the assurance. The impact on assurance of recommendations labelled "very important" for which there is a significant delay in the implementation of the Action Plan will also be considered.

- **Significant reputational events**

Events or weaknesses which have a significant reputational impact on DG R&I, or indirectly on the Commission, will be reported irrespective of the amount of damage to DG R&I administrative and operational budget and will be considered for issuing a reservation on a reputational basis.

When assessing the significance of any weaknesses, the following factors are considered:

- the nature and scope of the weakness;
- the duration of the weakness;
- the existence of compensatory measures (mitigating controls which reduce the impact of the weakness)

- the existence of effective corrective actions to correct the weaknesses (Action Plans and financial corrections) which have had a measurable impact.

When significant weaknesses are identified, a quantification of the amount at risk should be carried out when possible (See Chapter B).

Chapter B – Quantitative criteria for defining reservations

DG Research and Innovation's expenditure is composed of indirectly managed grants, directly managed grants, financial instruments, contribution to administrative expenditure of Executive Agencies and other direct spending mostly of an administrative nature. The error rate affecting payments is estimated yearly and per management system, following a methodology that considers the risk associated to the type of expenditure.

Since the research framework programmes' implementing bodies ⁽³⁷⁾ are sharing a common ex-post audit approach, and an important part of DG R&I yearly expenditure is related to indirectly or directly managed research grants, the following section focusses on this specific management system.

The assessment of the effectiveness of the different programmes' control system is based, but not exclusively, on ex-post audits' results. The effectiveness is expressed in terms of detected and residual error rate, calculated on a representative sample on a multi-annual basis.

Assessment of the effectiveness of controls

The starting point to determine the effectiveness of the controls in place is the cumulative level of error expressed as the percentage of errors in favour of the EC budget, detected by ex-post audits, measured with respect to the amounts accepted after ex-ante controls.

However, to consider the impact of the ex-post controls, this error level is adjusted by subtracting:

- Errors detected and corrected as a result of the implementation of audit conclusions.
- Errors corrected as a result of the extension of audit results to non-audited contracts with the same beneficiary.

This results in a residual error rate —used for H2020 and Horizon Europe—which is calculated as follows:

$$\text{Re sER}\% = \frac{(\text{Re pER}\% * (P - A)) - (\text{Re pERsys}\% * E)}{P}$$

where:

⁽³⁷⁾ Directorates General, Executive Agencies and Joint Undertakings (also called Article 187 bodies) implementing grants of the Research Framework Programmes.

ResER%	residual error rate, expressed as a percentage.
RepER%	representative error rate, or error rate detected in the common representative sample, expressed as a percentage. The RepER% is composed of complementary portions reflecting the proportion of negative systemic and non-systemic errors detected. This rate is the same for all implementing entities, without prejudice to possibly individual detected error rates.
RepERSys%	portion of the RepER% representing negative systemic errors, (expressed as a percentage). The RepERSys% is the same for all entities and it is calculated from the same set of results as the RepER%
P	total requested EC contribution (€) in the auditable population (i.e. all paid financial statements).
A	total requested EC contribution (€) as approved by financial officers of all audited financial statements. This will be collected from audit results.
E	total non-audited requested EC contribution (€) of all audited beneficiaries.

The Common Representative Sample (CRS) is the starting point for the calculation of the residual error rate. It is representative of the expenditure of each individual FP. Nevertheless, the Director-General (or Director for the Executive Agencies) must also consider other information when considering if the overall residual error rate is a sufficient basis on which to draw a conclusion on assurance (or make a reservation) for specific segment(s) of Horizon 2020/Horizon Europe. This information may include the results of other ex-post audits, ex-ante controls, risk assessments, audit reports from external or internal auditors, etc. All this information may be used in assessing the overall impact of a weakness and considering whether to make a reservation or not.

If the CRS results are not used as the basis for calculating the residual error rate this must be clearly disclosed in the AAR, along with details of why and how the final judgement was made.

Should a calculation of the residual error rate based on a representative sample not be possible for a FP for reasons not involving control deficiencies ⁽³⁸⁾, the consequences are to be assessed quantitatively by making a best estimate of the likely exposure for the reporting year based on all available information. The relative impact on the Declaration of Assurance would then be considered by analysing the available information on qualitative grounds and considering evidence from other sources and areas. This should be clearly explained in the AAR.

⁽³⁸⁾ Such as, for instance, when the number of results from a statistically representative sample collected at a given point in time is not sufficient to calculate a reliable error rate.

Multiannual approach

The Commission's central services' guidance relating to the quantitative materiality threshold refers to a percentage of the authorised payments of the reporting year of the Activity Based Budgeting (ABB) expenditure. However, the Guidance on AARs also allows a multi-annual approach, especially for budget areas (e.g., programmes) for which a multi-annual control system is more effective. In such cases, the calculation of errors, corrections, and materiality of the residual amount at risk should be done on a "cumulative basis" based on the totals over the entire programme lifecycle.

Because of its multiannual nature, the effectiveness of the Research and Innovation family services' control strategy can only be fully measured and assessed at the final stages in the life of the framework programme once the ex-post audit strategy has been fully implemented and systemic errors have been detected and corrected.

In addition, basing materiality solely on ABB expenditure for one year may not provide the most appropriate basis for judgements, as ABB expenditure often includes significant levels of pre-financing expenditure (e.g., during the initial years of a new generation of programmes), as well as reimbursements (interim and final payments) based on cost claims that 'clear' those pre-financings. Pre-financing expenditure is very low risk, being paid automatically after the signature of the contract.

Notwithstanding the multiannual span of their control strategy, the Directors-General (and the Directors of the Executive Agencies and Joint Undertakings) implementing Research and Innovation Framework Programmes are required to sign a statement of assurance for each financial reporting year. To determine whether to qualify this statement of assurance with a reservation, the effectiveness of the control systems in place needs to be assessed not only for the year of reference but also with a multiannual perspective, to determine whether it is possible to conclude that the control objectives will be met in the future as foreseen.

In view of the crucial role of ex-post audits defined in the respective common audit strategies, this assessment needs to check whether the scope and results of the ex-post audits carried out until the end of the reporting period are sufficient and adequate to meet the multiannual control strategy goals.

The criteria for deciding on whether there is material error in the expenditure of the DG or service, and thus, on whether to make a reservation in the AAR, will therefore be principally, though not necessarily exclusively, based on the level of error identified in ex-post audits of cost claims on a multi-annual basis.

Adequacy of the audit scope

The quantity of the (cumulative) audit effort carried out until the end of each year is measured by the actual volume of audits completed. The data is to be shown per year and cumulated, in line with the current AAR presentation of error rates. The multiannual planning

and results should be reported in sufficient detail to allow the reader to form an opinion on whether the strategy is on course as foreseen.

The Director-General (or Director for the Executive Agencies) should form a qualitative opinion to determine whether deviations from the multiannual plan are of such significance that they seriously endanger the achievement of the internal control objective. In such a case, they would be expected to qualify their annual statement of assurance with a reservation.

2020 REVISED Methodology for the calculation of the error rate for Horizon 2020

European Court of Auditors observations

The European Court of Auditors observed in its 2018 and 2019 Annual Reports that the error rate of Horizon 2020 was understated because the *“ex-post audits aim for maximum coverage of the accepted costs, but rarely cover all the costs. The error rate is calculated as a share of all the accepted costs, instead of the amount actually audited. This means that the denominator in the error calculation is higher, so the error rate is understated. In case the errors found are of a systemic nature, the error is extrapolated which partially compensates for the above-mentioned understatement. However, since extrapolation is not performed for non-systemic errors, the overall error rate is nevertheless understated. The understatement of the error rate cannot be quantified. It is, then, impossible to determine whether the impact of this understatement is significant”*.

In response to this observation, in 2020 the Commission re-defined its methodology for calculating the Horizon 2020 error rate. To quantify any potential understatement mentioned by the Court, the Commission applied a new methodology for all audits closed as from 01 January 2020. The main change in the methodology is that the denominator used in the error calculation is the sum of costs audited and not the sum of all accepted costs.

In this respect, an additional 0.38 % (calculated on 1 937 H2020 audit participations by difference with the previous methodology) has been used to top up the cumulative detected error rate for 2022. From January 2023, the Representative Error Rate is calculated by dividing the adjustment of the initial sample by the sampled amounts.

IAS limited review on the 2020 error rate calculation for Horizon 2020

The IAS has carried out a limited review on the methodology for calculation of the error rates of Horizon 2020 in the year 2020. The findings of this limited review confirmed that there is no weakness in the calculation of the detected error rate and that the impact of these findings on the accuracy of the calculation of the residual error rate is minor. The 3 recommendations issued were closed by IAS with the Note on audit conclusions in January 2024.

C. Research Framework programmes – specific aspects

The control system of each framework programme is designed to achieve the operational and financial control objectives set in their respective legislative base and legal framework. If the effectiveness of those control systems does not reach the expected level, a reservation must be issued in the annual activity report and corrective measures should be taken.

As each programme has a different control system, the following section details the considerations leading to the establishment of their respective materiality threshold and the conclusions to draw regarding the declaration of assurance.

Horizon 2020 Framework Programme

The control system established for Horizon 2020 is designed to achieve a control result in a range of 2-5% detected error rate, which should be as close as possible to 2%, after corrections. Consequently, this range has been considered in the legislation as the control objective set for the framework programme.

This is based on the provision of the Commission's proposal for the Regulation establishing the Horizon 2020 Framework Programme ⁽³⁹⁾ states that:

It remains the ultimate objective of the Commission to achieve a residual error rate of less than 2% of total expenditure over the lifetime of the programme, and to that end, it has introduced several simplification measures. However, other objectives such as the attractiveness and the success of the EU research policy, international competitiveness, scientific excellence and in particular, the costs of controls need to be considered.

Taking these elements in balance, it is proposed that the Directorates General charged with the implementation of the research and innovation budget will establish a cost-effective internal control system that will give reasonable assurance that the risk of error over the course of the multiannual expenditure period is, on an annual basis, within a range of 2-5%, with the ultimate aim to achieve a residual level of error as close as possible to 2 % at the closure of the multi-annual programmes, once the financial impact of all audits, correction and recovery measures have been taken into account.

Horizon 2020 introduces a considerable number of important simplification measures that will lower the error rate in all the categories of error. However, [...] the continuation of a funding model based on the reimbursement of actual costs is the favoured option. A systematic resort to output-based funding, flat rates or lump sums appears premature at this stage [...]. Retaining a system based on the reimbursement of actual costs does however mean that errors will continue to occur.

⁽³⁹⁾COM(2011) 809/3 Proposal for a Regulation of the European Parliament and of the Council establishing Horizon 2020 – the Framework programme for Research and Innovation (2014-2020), see point 2.2, pp 98-102.

An analysis of errors identified during audits of the Seventh Framework Programme (FP7) suggests that around 25-35 % of them would be avoided by the simplification measures proposed. The error rate can then be expected to fall by 1.5 %, i.e. from close to 5 % to around 3.5 %, a figure that is referred to in the Commission Communication striking the right balance between the administrative costs of control and the risk of error.

The Commission considers therefore that, for research spending under Horizon 2020, a risk of error, on an annual basis, within a range between 2-5 % is a realistic objective taking into account the costs of controls, the simplification measures proposed to reduce the complexity of rules and the related inherent risk associated to the reimbursement of costs of the research project. The ultimate aim for the residual level of error at the closure of the programmes after the financial impact of all audits, correction and recovery measures will have been considered is to achieve a level as close as possible to 2 %.

Horizon Europe Framework Programme

For Horizon Europe Framework Programme ⁽⁴⁰⁾ ⁽⁴¹⁾, the general control objective, following the standard quantitative materiality threshold proposed in the standing instructions for Annual Activity Reports, is to ensure that the cumulative representative error rate and the cumulative residual error rate, i.e. the level of errors which remain undetected and uncorrected, does not exceed 2% on an annual basis. An AAR reservation will be issued in the Annual Activity Report if the cumulative residual error rate is above the 2% materiality threshold.

D. Other programs

For all other programmes implemented by DEFIS (EDIDP, EDF,...) the general objective is to ensure that the residual error rate, i.e. the level of errors which remain undetected and uncorrected, does not exceed 2% by the end of the programmes' management cycle.

E. De 'minimis' threshold for financial reservations

Since 2019 ⁽⁴²⁾, a 'de minimis' threshold for financial reservations has been introduced. Quantified annual activity report reservations related to residual error rates above the 2% materiality threshold are deemed not substantial for segments representing less than 5% of a DG's total payments and with a financial impact below EUR 5 million. In such cases, quantified reservations are no longer needed.

Not applicable.

⁽⁴⁰⁾ Regulation (EU) 2021/695 of the European Parliament and of the Council of 28 April 2021 establishing Horizon Europe

⁽⁴¹⁾ This general control objective described for Horizon Europe is also applicable to FP7 framework programme legacy.

⁽⁴²⁾ Agreement of the Corporate Management Board of 30/4/2019.

ANNEX 6: Relevant Control System(s) for budget implementation (RCSs)

ANNEX I: Relevant Control System(s) for budget implementation (RCSs)

RCS N°1: Budget entrusted to other entities

This RCS covers:

- (1) under indirect management, the agreements with **ESA** for the EGNSS, Galileo FOC, EGNOS, Copernicus, SSA, GOVSATCOM, IOD/IOV and IRIS²
- (2) under indirect management, the agreement with **EUSPA** for the space programme components, horizontal activities, research activities and past agreements for EGNSS
- (3) under indirect management, Copernicus agreements with **EUMETSAT**, **ECMWF**, **EEA**, **EMSA**, **FRONTEX**, **MERCATOR OCEAN**, **SATCEN**
- (3) under indirect management, the agreements with **OCCAR** and **EDA** for defence industry programmes
- (4) cross sub-delegations to **other Commission services** (such as JRC).

Stage 1 – Establishment (or prolongation) of the mandate to the entrusted entity (EE)

Main control objectives: Ensure that the legal framework for the management of the relevant funds is fully compliant and regular (legality & regularity), that is delegated to the appropriate entity (best value for public money, economy, efficiency), without any conflicts of interests (anti-fraud strategy) and gives all the rules necessary for a smooth running by the EE.

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
The Financial Framework Partnership Agreement (FFPA) with EUSPA and ESA and Contributions Agreement (CA) does not clearly set out: - delegated tasks, responsibilities of each involved actor - internal control and reporting	Take the <i>lessons learned</i> from prior similar CAs Ex-ante review by the relevant staff within DG DEFIS Consultation of the central EU services (DG BUDG, Legal Service) Hierarchical validation within the	Coverage/Frequency: 100 %/once Depth: Checklist includes a list of the requirements of the regulatory provisions to be complied with. Factors would be (i) whether it is an establishment or a prolongation, (ii) whether it	Costs: estimation of FTEs involved in the preparation and adoption work Benefits: - Total budget amount entrusted to the entity in case of detection of no significant (legal) errors - DG DEFIS reputation intact

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
requirements to be observed - arrangements for protection of EU financial interests and transparency of operations - right of the European Court of Auditors (ECA) and the European Anti-Fraud Office (OLAF) to comprehensively exert their competences to audit the entrusted funds Specific risks related to industrial procurement to be carried out by ESA on behalf of DG DEFIS in the complex oligopolistic space market Specific risks related to industrial procurement to be carried out by GSA in the complex oligopolistic space market	authorising directorate Describe modalities of cooperation, supervision and reporting in the FFPA and CA Explicit allocation of supervision responsibility to individual officials (reflected in task assignment or function descriptions) Ex-ante verification of the procurement procedures carried out by the EE in their own name (for example: EC procurement board with ESA), or on behalf of the EU Scrutiny verification by DG DEFIS of industrial procurements procedures carried out by EUSPA	involves selecting an entity and (iii) consistency with any other entities entrusted by the same DG or family.	Effectiveness: - Quality of the legal work (Basic Act, Legal and Financial Statement and CA) - no ECA or OLAF observations Efficiency: - Average cost of preparation, adoption work done compared with similar cases as benchmark Economy: - ratio FTEs/funds entrusted (economic when below 10-15 %)

Stage 2 – Ex-ante (re)assessment of the entrusted entities financial and control framework

Main control objectives: Ensuring that the EE is fully prepared to start/continue implementing the delegated funds autonomously as requested by the Financial Regulation (Art. 154.4).

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Before entrusting tasks of budget implementation to the EE, DG DEFIS has not obtained evidence that the financial and control framework deployed by the EE is sufficiently mature - The EE's own financial framework differs from the EU FR and the two parallel systems coexist with the risk of the EE's own system being applied to EU funds - The EE has not timely informed DG DEFIS about substantial changes made to its systems, rules and procedures that relate to the management of the EU funds entrusted	- DG DEFIS internal or independent external ex-ante assessment of the EE ensuring that there is the same level of protection of the financial interests of the Union equivalent to the one that is provided for when the Commission implements the EU budget (Article 62 FR¹⁴) - Hierarchical validation within the authorising directorate - Require justification and prior consent for any deviation to financial rules (e.g. Riders or Contract Change Notices) - Require timely notification by the EE of any changes to its financial or control systems subsequent to the signature of	Coverage/frequency: - <u>International organisations</u>: prior to the signature, assessment of internal control system of the EE followed if necessary by ad hoc targeted system controls - <u>Agencies</u>: targeted system controls/ad hoc Depth: - 100 %	Costs: - estimation of FTEs involved in the ex-ante assessment process (including missions) - cost of outsourced independent external "pillar" (re)assessment of the EE's control system(s), if not covered by the EE Benefits: - Total budget amount entrusted to the EE if no significant system weaknesses are detected - DG's reputation remains intact Effectiveness: - no ECA or IAS observations - n° of recommendations proposed to EE as result of assessment (i.e.

¹⁴ The future entrusted entities must meet requirements with regard to the following nine "pillars": 1. the internal control system, 2. the accounting system, 3. an independent external audit, as well as rules and procedures for: 4. providing financing from EU funds through grants (optional), 5. procurement (optional), 6. financial instruments (optional), 7. exclusion from access to funding, 8. publication of information on recipients, 9. protection of personal data.

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
	- the CA - Statement obtained from another DG which also has a CA with the EE (cross-reliance of pillar assessments and exemptions)		- deviations from EU FR identified) - quality of ex-ante assessment Efficiency Indicators: - Time-To-Implement recommendations (by the EE) - Time-To-(Re)Assess Economy: - ratio FTEs/funds entrusted (economic when below 10-15 %)

Stage 3 – Implementation: monitoring, supervision, reporting

Main control objectives: Ensure that the FFPA/CA objectives are achieved and that DG DEFIS is fully and timely informed of any relevant management issues encountered by the EE, in order to possibly mitigate potential financial and/or reputational impacts (legality & regularity, sound financial management, true and fair view reporting, anti-fraud strategy).

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Low quality programme results, delayed programme implementation, non-achievement of policy objectives / desired impact on society. - Due to weak modalities of cooperation, supervision and reporting, DG DEFIS is not	Detailed reporting modalities included in FFPA/CA (incl. regular programme evaluation). Reinforced monitoring: - increased participation in EE's governance bodies and technical committees - detailed analysis of all reports submitted by the EE; if necessary,	Coverage: 100 % of the entities are monitored/supervised. Frequency: - daily (operational/financial/technical issues) - monthly (briefings and reports for high level governance meetings) - quarterly (report analysis)	Costs: estimation of FTEs involved in monitoring and supervision (including missions). Benefits: - Total budget amount entrusted to the EE if no significant (legal, management, accounting, fraud, reporting) errors are detected

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
fully and timely informed of relevant financial and/or management issues encountered by the EE, and/or does not (timely) react upon notified issues by mitigating them or by making a reservation for them – which may reflect negatively on the DG's governance reputation and quality of accountability reporting. - EE's financial and control systems are not functioning as expected, even though the outcome of the system (re)assessment was satisfactory (e.g. assets not correctly registered in EEs accounts) - EE's procedures are changed during the mandate	- request additional ad hoc reports - outsourcing of technical assistance on general programme management and ad hoc topics (e.g. asset management, systems audits) - regular EE audits by DG DEFIS, IAS, ECA and close follow-up of implementation of audit recommendations - management review of the supervision results (e.g. regular DEFIS-ESA meeting at Director-General level) - monthly EC/ESA/EUSPA directors meetings to tackle specific issues - set up of ad hoc DEFIS - EE Task Forces to tackle problematic issues - if necessary, referral to OLAF - DG DEFIS is informed in due time of changes in order to assess the impact on the implementation of EU funds and agree or not on changes	- annual (AOXD reports, review of Annual Reports for reservations) <u>In case of</u> operational / financial issues, measures are reinforced. The depth depends on the <u>mandate</u> given to the entity, and on the level of DG DEFIS access to the EE's internal control information.	- DG's reputation remains intact Effectiveness: - FFPA/CA objectives achieved on time - cut-off and closure exercise carried out within deadline - relevance, reliability and quality of control data reported back by EE - n° of serious IAS or ECA findings on control failures - n° of regular monitoring actions, n° of issues under reinforced monitoring, budget % value and amount of errors detected ex-post - Parent DG's AAR assurance on EEs budgets Efficiency Indicators: - no amendments to FFPA/CA to extend programme implementation deadline - FFPA/CA renewed - Time-To-Implement audit recommendations Economy: - ratio FTEs/funds entrusted (economic when below 10-15 %)

Stage 4 – Commission contribution: payment or suspension/interruption

Main control objectives: Ensure that the Commission fully assesses the management situation at the entrusted entity (EE), before either paying out the (next) financial contribution for the operational and/or operating budget of the entity, or deciding to suspend/interrupt the (next) contribution (legality & regularity, sound financial management, anti-fraud strategy).

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
The Commission pays out the (next) contribution to the entrusted entity: - while not being aware of management issues that may lead to financial and/or reputational damage - despite being aware of such issues - with incorrect calculation of the cash needs of the entrusted entity - with no implementation of the audit results by the entrusted entity	- Require EE to report back on management issues as soon as possible - Ex-ante operational and financial verifications leading to correction of errors and restatement of corrected contribution request - Management review of supervision results - Hierarchical validation of contribution payment and recovery of non-used funds - If necessary, suspension or interruption of payments	Coverage: 100 % of the contribution payments. Frequency: as per transfer agreement or transfer request The depth depends on the <u>mandate</u> of the (type of) entity, inter alia whether DG DEFIS has full access to the entity's internal control information.	Costs: estimation of FTEs involved in the ex-ante verifications Benefits: - value of errors detected by ex-ante controls - Total budget amount entrusted to the entity if no significant (legal, management, accounting, fraud, reporting) errors are detected - DG's reputation remains intact Effectiveness: - amount of unused operating budget recovered (if any) - budget amount of the suspended/interrupted payments (if any). Efficiency Indicators: - Time-To-Pay /Recover Economy: - ratio FTEs/funds entrusted (economic when below 10-15 %)

Stage 5 – Audit and evaluation

Main control objectives: Ensuring that assurance building information on the EE's activities is being provided through independent sources as well, which may confirm or contradict the management reporting received from the entrusted entity itself.

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- The Commission has insufficient information from independent sources on the EE's management achievements, which prevents drawing conclusions on the assurance for the budget entrusted to the Entity – which may reflect negatively on the Commission's governance reputation and quality of accountability reporting - Decentralised agencies do not fully cooperate with the Discharge authorities and do not provide, as appropriate, any necessary additional information - The entrusted AOXD's control system is subject to AAR reservations and/or ECA criticism - EE refuses access to facilities/information on the basis of classification of the	- FFPA/CA to specify independent audit function and cooperation with IAS and ECA - DG DEFIS own on-the-spot ex-post audits of the EE and/or its beneficiaries - potential escalation of any major governance-related issues - Interim evaluations by independent experts of achievement of policy objectives - if necessary, refer to OLAF - auditors in possession of a personal security clearance	Coverage: All delegation agreement and contribution agreements are checked through samples. Regarding the subsidy paid to EUSPA, the budget executed on behalf of DG DEFIS, is checked by the European Court of Auditors. DG DEFIS does not perform ex-post audits on this subsidy of this agency. The AOXD's systems are presumed to be up to Commission standards. Frequency: <u>Space</u>: once a year or every second year, depending on the entrusted entity. Defence: Each Organisation could be subject to an audit before the closure of the programmes. The depth depends on the <u>mandate</u> of the (type of) entity, inter alia whether the Commission has full access to the entity's internal control information.	Costs: - estimation of FTEs involved in the coordination and execution of the own audits - Ex-post audit mission costs - Cost of outsourced audits Benefits: - Assurance of the AOD that the population audited is clean of error - % rate and value of errors detected by own audits (and subsequently corrected) Effectiveness: - unqualified opinion by the EE's independent external auditor on the EE's annual financial statements - detected error rate of own ex-post audits of EE below materiality threshold - n° of own audits - n° and amount of errors detected by own audits

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
information			Efficiency: - value of total payments audited - Number of audits launched in the year versus annual target - Number of audits closed in the year versus annual target Economy: - ratio: annual cost of own audits / amount of all errors detected - average cost per audit

RCS N°2: Assets

RCS N° 2: Assets

This RCS covers: the physical assets of the EGNSS and Copernicus space programmes

Stage 1 – Recognition: establishment of the Commission's rights on assets in the underlying agreements

Main control objectives: Negotiation of contractual terms. Ensure that the legal framework (agreements with entrusted entities) for the management of the EU assets is fully compliant and regular (legality & regularity) with an appropriate set-up of requirements related to the safeguarding of assets, inventory management and accounting information (true and fair view).

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
FFPA/contribution agreement does not clearly set out: - delegated tasks - the requirements related to the ownership, safeguarding and management of EU property - internal control and reporting requirements - arrangements for protection of EU financial interests and transparency of financial operations - right of the European Court of Auditors (ECA) and the European Anti-Fraud Office (OLAF) to comprehensively exert their competences to audit the entrusted funds	- Investment of adequate time and effort in drafting the new contribution agreement: - Inter-service consultation of relevant Commission services - Detailed and unambiguous modalities of cooperation, supervision and reporting - Stipulations with regard to transfer of ownership and the detailed asset management and reporting requirements	Coverage/Frequency: 100 %/once Depth: In-depth control, full investment of DG DEFIS operational, financial and legal units	Costs: estimation of FTEs involved in the preparation and adoption work Benefits: - Proper safeguarding of the EU property - DG DEFIS reputation intact - Cost-efficient implementation of the agreements Effectiveness: - Quality of the legal work (Basic Act, Legal and Financial Statement and DA) - Timely receipt of adequate reporting in line with requirements agreements - no ECA, IAS or OLAF criticism Efficiency: - Time and average cost of preparation, adoption work done compared with similar cases as benchmark Economy: - ratio FTEs/funds entrusted (economic when below 2 %)

Stage 2 – Protection: recording, ensuring correct asset valuation

Main control objectives: Ensuring reliable and accurate asset valuation and reporting (true and fair view)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
The implementation of the Agreements entails weaknesses, which lead to the Commission's legal rights in terms of assets ownerships not being duly protected and/or registered and/or reliably reported Non respect of EU accounting rules regarding assets and inventories Inaccurate valuation of assets	Clear programme specific accounting guidelines, inspection, depreciation and de-commissioning rules Formal agreement of Accounting Officer asked for accounting decisions with a material impact Organisation of asset workshops with the entrusted entities Regular meetings of the asset working group with members from the accounting team, DG for Budget and operational units In depth ex-ante controls of accounting data, including sample-wise ex-ante checks of underlying cost and regular checks of inventories	Coverage/Frequency: Full coverage/yearly Depth: In-depth control, full investment of DG DEFIS accounting team in co-operation with operational units	Costs: estimation of cost of staff involved. Cost of the contracted services (if applicable) Benefits: The (average annual) total value of the significant errors detected and thus prevented in terms of the Commission's rights Effectiveness: Number of material internal and external audit findings about incorrect valuation of assets The valuation of assets within the deadlines imposed by the Directorate-general for Budget Efficiency: Time spent on controls related to the asset value Economy: Cost of valuation and accounting of the Commission's assets and evolution over time

Stage 3 – Overall monitoring of proper safeguarding of assets

Main control objectives: Ensuring that the Commission's property is safeguarded adequately

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
Lack of complete and reliable assets register Lack of safeguarding of assets (for example assets lost, damaged or disposed without prior permission of the EU)	Review the controls strategy with an emphasis on documenting the existing control Monitoring reports provided by the relevant asset manager/inventory Physical inspection of assets under EU ownership Defines formal procedure for disposal of assets Other monitoring measures adequate to the programme (i.e. monitoring of asset performance, signal provision)	Performance of physical inspections on the basis of the Multiannual assets verification programme on a materiality based approach. Annual review of reports provided by the entrusted entities	Costs: estimation of cost of staff & missions involved. Benefits: assurance on the existence and safeguarding of the total value of EU assets Budget value of items lost detected Effectiveness: Value of assets inspected per three years as % of net asset (equipment) value Number of follow-up actions Efficiency: Time spent and cost of missions related to the value of assets inspected Economy: Cost of inspections of the EU assets and evolution over time

Stage 4 - Ex-Post controls: supervision monitoring, reviews, audits – plus corrections

Main control objectives: Measuring the effectiveness of ex-ante controls; detect and correct any error with regard to the underlying cost remaining undetected after the implementation of ex-ante controls. Ensuring that the appropriate corrections are being made

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
The ex-ante controls fail to prevent, detect and correct errors in the valuation of the assets	Ex-post audits of cost reported by the entrusted entities that form the basis for the EU asset valuation	Coverage ex post audits: - Representative sample: random or statistical sample sufficiently representative to draw valid management conclusions - Risk-based sample, determined in accordance with the selected risk criteria, aimed to maximise error correction (either higher amounts or expected error rate). - Judgemental sampling	Costs: estimation of cost of staff involved in the supervision and audit strategy Benefits: budget value of the errors, detected by the auditors, which have actually been corrected. Effectiveness: Representative error rate below 2 %. Efficiency: total (average) annual cost of audits compared with benefits (ratio). Economy: Cost of ex-post audits of the underlying cost of asset valuation and evolution over time

RCS N° 3: Procurement

This RCS covers: DG DEFIS own procurement under direct management, which is mostly for studies and technical assistance:

Stage 1 – Decision to launch a procurement procedure (call for tender)*A – Planning*

Main control objectives: Effectiveness, efficiency and economy. Compliance (legality and regularity).

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- The procurement needs are not clearly defined or justified from an economic or operational point of view - Discontinuation of the services provided due to poor/late planning and organisation of the procurement process - Lack of expert knowledge and experience in the highly regulated field of procurement which may lead to the wrong choice of procedure/thresholds and the splitting of purchases - Conflict of interests	- Publication of intended procurements - Detailed financial procedures - In-house technical trainings on procurement management - Regular information on ethics, integrity and fraud awareness to all staff involved in the procurement process	- 100 % of forecast procurements are included in the DG DEFIS Monitoring Tool/work programme.	Costs: - estimation of FTEs involved and the related contract values (if external expertise is used) Quantified Benefits: - Amount of rejection of unjustified purchases Non Quantified Benefits: - Avoidance of litigation - DG DEFIS reputation intact Effectiveness: - n° of ECA observations and % error rate on choice of procurement procedure - n° of successful legal on errors in the procurement procedures

B - Needs assessment & definition

Main control objectives: Effectiveness, efficiency and economy. Compliance (legality and regularity).

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- Risk of not obtaining value for money due to lack of market analysis and/or poor definition of selection criteria - Risk of unequal treatment resulting in litigation, due to selection criteria favouring one contractor - Risk of not receiving the best offers due to the poor definition of the tender specifications (disproportion between contract value and selection/award criteria, or specifications too vague) - Risk of non-compliance with legality and regularity and criticism on choice of procedure due to limited competition and high proportion of negotiated procedures in the very technical, complex and oligopolistic space market	- Encourage use of open procedures, even in relatively closed markets - Technical specifications are prepared and validated by at least 2 staff members, and approved by the responsible operational HoU/ Director before call launch - Verification and validation of tender documents by a specialised team for Public Procurement and Grants Management in the Financial Resources and Internal Control unit before call launch	- 100 % of the specifications are verified. Depth may be determined by the amount and/or the impact on the objectives of the DG if it goes wrong - 100 % of the tenders above a financial threshold (e.g. > EUR 15 000) are reviewed. Depth risk-based, depending on sensitivity	Costs: - estimation of FTEs involved and the related contract values (if external expertise is used) Quantified Benefits: - Value of contracts for which the approval and supervisory control detected material error (negative opinion issued by the DG DEFIS legal team). Non quantified Benefits: - Limit the risk of litigation - Limit the risk of cancellation of a tender Effectiveness: - N° of negative Public Procurement and Grants Management opinions and n° of favourable opinions with reserves. - N° of 'open' procedures or procedures where only one or no offers were received

C – Evaluation & Award

Main control objectives: Effectiveness, efficiency and economy. Compliance (legality and regularity). Fraud prevention and detection.

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- The most economically advantageous offer is not selected due to a biased, inaccurate or 'unfair' evaluation process - Over-consumption of resources (human and financial) due to errors or mismanagement leading to award decisions being contested (resulting in Court and Ombudsman cases) - Damage to the DG's reputation if fraud or criminal behaviour is discovered (conflict of interest)	- All 'call for tender' evaluations involve the use of opinions of more than one qualified official. The evaluation process is more regulated and formalised as the contract value increases. - Risk based approach: higher risk contracts have more in-depth checks - Review of and opinion on evaluation and award documents and process by a specialised legal team before contract award	- Formal evaluation process: Opening and Evaluation committees for all tenders > EUR 140 000¹⁵ including signature of declarations of absence of conflict of interests by the committee members - Risk based approach: 1) second review of evaluation and award documents and process (open and restricted procedure) by the Deputy Director General and Director General for procurements > EUR 10 million 2) validation of negotiated procedures > EUR 140 000 by the Director-General before call launch - 100 % of the offers of the call for tenders are evaluated by more	Costs: - estimation of FTEs involved and the related contract values (if external expertise is used) Quantified Benefits: - Difference between the most onerous offer and the selected one - N° of value of contracts subject to complaints / irregularities - N° of procurements successfully challenged during standstill period Non quantified Benefits: - Compliance with FR - Best value for money Effectiveness: - n° of ECA observations and % error rate concerning evaluation & award stage - n° of negative Public Procurement and Grants Management opinions - n° of successful complaints or

¹⁵ Thresholds for procurement applicable for procurement procedures launched as of 1st January 2022. EUR 140 000 for procurement of supplies and services, EUR 5 350 000 for the procurement of works and concessions.

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
		- than one qualified official. - 100 % of evaluations are checked. - Depth: required documents provided are consistent	Ombudsman or Court cases resulting from non-compliant procurement process Efficiency: - Time-To-Contract - Contract value/cost of FTEs involved in control of contracts

Stage 2 – Contract Management and Financial transactions

Main control objectives: Ensuring that the implementation of the contract is in compliance with the signed contract

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- Bad or non-execution by the contractor, leading to serious problems if contractual deliveries are critical and no short term alternatives are available (risk of over-dependency on certain contractors) - The products/services foreseen are not, totally or partially, provided in accordance with the technical description and requirements foreseen in the contract and/or the amounts paid exceed that due in accordance	- Checks on financial capacity and viability of contractors prior to awarding the contract - Close monitoring of contracts, with possible on-site verifications, particularly of high value contracts resulting from negotiated procedures - Checks on both operational and financial issues carried out at appropriate level using the most qualified staff. As defined in the in accordance with the financial circuits	- 100 % of the contracts are controlled, including only value-adding checks - In case of reimbursement costs, in-depth ex-ante verification - High risk operations identified by risk criteria - For high risk operations, reinforced monitoring of the respect of the timely achievement of the contract's milestones by the contractor	Costs: - estimation of FTEs involved Quantified Benefits: - Amount of irregularities, errors and overpayments prevented by the controls Non quantified Benefits: - DG reputation intact Effectiveness: - n° of ECA observations and % error rate relating to contract management /payment stage - n° of court cases resulting from contract execution problems - % budget execution rate – total amount

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- with the applicable contractual and regulatory provisions - Risk of bad execution due to undetected errors on uncorrected imprecisions in offers or tendering specifications - Business discontinues, because contractor fails to deliver - Plagiarism (studies, reports) - Fraud	- Possibility to run a plagiarism check of reports submitted by contractor - Management of sensitive functions		- committed/paid versus total budget envelope - % of contracts implemented - n° of open critical and/or very important audit recommendations Efficiency: - Time-To-Pay - Late interest payment and damages paid (by the Commission) - Coverage of 1st and 2nd level ex-ante controls Economy: - Average n° of contracts per procurement control FTE - cost of control per running contract - % cost over annual amount disbursed

Stage 3 – Supervisory measures

Main control objectives: Ensuring that any weakness in the procedures (tender and financial transactions) is detected and corrected

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- An error or non-compliance with regulatory and contractual provisions, including technical specifications, or a fraud is not prevented, detected or corrected	- Supervisory desk review of procurement and financial transactions - Ex-post publication of contracts awarded (and	- 100 % Depth: review any significant problem that occurred - legal team examines procurement procedures	Costs: - estimation of FTEs involved in the controls Non Quantified Benefits:

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
by ex-ante control, prior to payment	- subsequent publication in the EU Financial Transparency System) - Regular review of exceptions or non-compliance events reported - Regular review of the procurement process (self-assessment by DG legal team - System and transaction audits by IAS, ECA) and subsequent monitoring of implementation of recommendations for improvement - indicators on procurement are regularly reported	- 100 % of the sample at least once a year to determine any errors or systemic problems or weaknesses in the procedures (procurement and financial transactions)	- Systematic weaknesses corrected - Deterrent effect Effectiveness: - Amounts associated with errors detected (related to fraud, irregularities and error) and in % over total checked. - N° system improvements made Efficiency: - Average time-to-contract Economy: - Proportion of overall cost of control over total expenditure (payments authorised) - Costs of the ex-post controls and supervisory measures with respect to the 'benefits'.

This RCS covers: DG DEFIS grants under direct management (action and operating grants)

Stage 1 – Programming, evaluation and selection of proposals

A - Preparation, adoption and publication of the Annual Work Programme (AWP) and Calls for proposals (Calls)

Main control objectives: Ensuring that the Commission receives and selects the proposals that contribute the most towards the achievement of the policy or programme objectives (effectiveness); Compliance (legality & regularity); Prevention of fraud (anti-fraud strategy)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Work Programmes and subsequent calls do not adequately reflect the policy objectives, priorities are incoherent and/or the essential eligibility, selection and award criteria are not adequate to ensure the evaluation of the proposals - Work Programmes are inconsistent within the other family DGs and with the 7 year framework - Work Programmes overlap with other programmes (by other DGs, e.g. Structural Funds) and could lead to double-funding	- Hierarchical validation within the authorising department - Inter-service consultation, including all relevant DGs - Adoption by the Commission - Use corporate templates and corporate tools to prepare and publish the call documents Recommended: - Centralised checklist-based verifications - Explicit allocation of responsibility to individual officials (reflected in task assignment or function descriptions)	If risk materialises, all grants awarded during the year under this WP or call would be irregular. Possible impact: 100 % of budget involved and significant reputational consequences. Coverage: 100 % Depth: All Work Programmes are thoroughly reviewed at all levels, including for operational and legal aspects.	Costs: - Estimation of cost of staff involved in the preparation and validation of the Work Programmes and calls. Cost of contracted services, if any. Benefits: - Only qualitative benefits. A good Work Programme and well publicised calls should generate a large number of good quality projects, from which the most excellent can be chosen. There will therefore be real competition for funds. - The (average annual) total budgetary amount of the Work Programmes or calls with significant errors detected

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Calls are tailored to the advantage of certain candidates due to undue influences from interest groups - Calls are not adequately published and do not reach all target groups - Call documents are incomplete, contain contradicting information or are unclear	- Prepare guiding documents and organise infodays and other dissemination events		and corrected. Effectiveness: - % of n° of calls successfully concluded / number of calls planned in Management Plan/Work Programme - % budget execution rate grant commitments Economy: - average n° and value of running grants managed per control FTE - % cost of control for all stages over annual amount disbursed in grants - average cost of control per grant

B – Selecting and awarding: Evaluation, ranking and selection of proposals

Main control objectives: Ensuring that the most promising projects for meeting the policy objectives are among the proposals selected (effectiveness); Compliance (legality & regularity); Prevention of fraud (anti-fraud strategy)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Evaluation, ranking and selection of proposals not carried out in accordance with the established procedures, policy objectives and priorities	- Selection and appointment of expert evaluators. - Outreach actions to achieve a larger pool of available	- 100 % screening of expert evaluators for technical expertise and independence (e.g. conflicts of interests, nationality bias, ex-employer bias, collusion)	Costs: - Estimation of cost of staff involved in the evaluation and selection of proposals - Cost of the appointment of experts and

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Difficulties to recruit adequate independent experts affecting the quality and timing of the evaluations - Eligibility, selection and award criteria too ambiguous or otherwise inadequate to ensure that grants are awarded to the actions which maximise the overall effectiveness of the EU programme - Unauthorised persons may have access to the electronic system for the management of the calls - Unequal treatment of applicants: inappropriate contacts and/or conflict of interests with certain applicants during the procedure - Monopoly of certain bodies insufficiently justified	- experts. - Admissibility and quality checks on the proposals (financial section). Assessment of the financial proposal in case of lump-sums. - Assessment of the financial capability of the Consortium/beneficiary. - Validation by the AO of ranked list of proposals. In addition, if applicable: opinion of advisory bodies; comitology; inter-service consultation, adoption by the Commission; publication.	- 100 % of admissible proposals are evaluated by independent experts - 100 % of contested decisions are analysed by redress committee	of the logistics of the evaluation Benefits: - 'quality allocation' assurance of the whole committed budget (as it will have been checked ex-ante and is considered reasonable in the interests of the programme) Qualitative benefits: - Expert evaluators from outside the Commission bring independence, state of the art knowledge in the field and a range of different opinions. This will have an impact on the whole project cycle : better planned, better executed projects Effectiveness: - % of proposals evaluated within the year/proposals received - % of n° of (successful) redress challenges / total n° of proposals received - Ratio of proposals received to proposals selected ("oversubscription" rate) - No successful litigation cases Efficiency: - Average Time-To-Publication of

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
			selection results Economy: - Average evaluation cost per proposal (external experts paid only) - % cost of control over annual amount disbursed in grants

Stage 2 - Contracting

Main control objectives: Ensuring that the most promising projects for meeting the policy objectives are among the proposals contracted; Ensuring that the actions and funds allocation is optimal (Sound Financial Management: best value for public money; effectiveness, economy, efficiency); Compliance (legality & regularity); Prevention of fraud (anti-fraud strategy)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- After evaluation, the description of the action in the grant agreement remains unclear or still includes tasks which do not contribute to the achievement of the programme objectives - Inconsistencies exist between the grant agreement and its annexes - Procedures do not comply with regulatory framework - The consortium proposes changes that put into question the result of the evaluation	- Systematic checks on operational and legal aspects performed before signature of the grant agreement - Project Officers implement evaluators' recommendations in discussion with selected applicants. Hierarchical validation of proposed adjustments. - Validation of beneficiaries (operational and financial viability, SME and Midcap status).	Coverage: - 100 % of the selected proposals and beneficiaries are scrutinised - 100 % of draft grant agreements Depth may be differentiated; determined after considering the type or nature of the beneficiary (e.g. SMEs, joint-ventures) and/or of the modalities (e.g. substantial subcontracting) and/or the total value of the grant. For EDF, specific guidelines on mitigating controls are foreseen in	Costs: - Estimation of cost of staff involved in the contracting process Efficiency: - Average Time-To-Grant Economy: - % cost of control for all stages over annual amount disbursed in grants

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Delays in the provision of the necessary input to finish the GAP, putting at risk the signature of the contract before year N+1 - The beneficiary: ▪ has overestimated the costs necessary to carry out the action ▪ has made false declarations ▪ lacks operational and/or financial capacity to carry out the action ▪ is awarded several grants for a single action (double funding by different DGs or other donors) ▪ falls into an exclusion situation	- Planning of (mid-term and final) evaluations. - Signature of the grant agreement by the AO. - In-depth financial verification and taking appropriate measures for high-risk beneficiaries - Preparation of a reserve list of projects	the approved GAP methodology [Ares(2023)4518400].	

Stage 3 - Monitoring the execution: Project management - operational, financial and reporting aspects

Main control objectives: ensuring that the operational results (deliverables) from the projects are of good value and meet the objectives and conditions (effectiveness & efficiency); ensuring that the related financial operations comply with regulatory and contractual provisions (legality & regularity); prevention of fraud (anti-fraud strategy); ensuring appropriate accounting of the operations (reliability of reporting, safeguarding of assets and information)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- The actions foreseen are not, totally or partially, carried out in accordance with the technical description and requirements foreseen in the grant agreement and/or the amounts paid exceed those due according to the applicable contractual and regulatory provisions. - Eligibility conditions of the beneficiary may change during the implementation (e.g. SME bought by a larger company or a company becoming controlled by a third state) - Reimbursement of ineligible costs by DG DEFIS (e.g. due to overinflated timesheets, subcontracting of core activities or without prior tendering procedure) - Several authorising officers implement the same programme	- Kick-off meetings and "launch events" involving the beneficiaries in order to avoid project management and reporting errors - Explain and clarify at front rules on eligibility criteria (most current cases) - Effective external communication about guidance to the beneficiaries - Operational and financial checks in accordance with the financial circuits. - Operation authorisation by the AO - For riskier operations more in-depth ex-ante controls. Scientific reviews if necessary. - Agreement with Member States on security framework principles and role of Project	- 100 % of the projects are controlled, including only value-adding checks - Riskier operations subject to more in-depth controls - The depth depends on risk criteria. However, as a deliberate policy to reduce administrative burden, and to ensure a good balance between trust and control, the level of control at this stage is reduced to a minimum. - High risk operations identified by risk criteria. Red flags: suspicions raised by staff, delayed interim deliverables, suspicion of plagiarism, unstable consortium, requesting many amendments, EDES or anti-fraud flagging, etc. - Audit certificates required for any beneficiary claiming significant	Costs: - estimation of cost of staff involved in the actual management of running projects Benefits: - part of budget value of the costs claimed by the beneficiary, but rejected by staff - Reductions in error rates identified by audit certificates - Budget value of penalties and liquidated damages. - Benefits due to operational review of projects and consequent corrective actions imposed on projects Effectiveness: - % and value of reductions made to EC contribution paid out through the ex-ante desk checks / total value of cost claims desk-checked - % of payments suspended - n° of cost claims desk-checked Efficiency:

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- and do not treat the beneficiaries equally - Insufficient operational performance monitoring of beneficiaries by project officers - Limitations in the security framework do not allow project officers to access the necessary documents to confirm the correct implementation of the action and to provide the "certified correct"	- Manager - When needed: application of suspension/interruption of payments, penalties or liquidated damages, earmark projects for risk-based ex-post audit, refer grant/beneficiary to OLAF - Desk check (ex-ante) by the financial officers of the cost claims provided by the beneficiaries.	EU contribution.	- % and value of reductions made to EU contribution paid through ex-ante desk checks/total value of cost claims checked - Average n° & value of projects managed 'per' staff FTE - Average Time-To-Pay - Average payment suspension time (days) Economy: - % cost of ex-ante control (cost/total amount of grant payments) - Average project management cost (staff FTE * standard staff cost) per running project

Stage 4 – Ex-Post controls: supervision monitoring, reviews, audits – plus corrections

Main control objectives: Measuring the effectiveness of ex-ante controls; detect and correct any error with regard to the underlying cost remaining undetected after the implementation of ex-ante controls. Ensuring that the appropriate corrections are being made.

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- The ex-ante controls fail to prevent, detect and correct errors in the implementation of the grants - Beneficiary refuses access to facilities/information on the basis of classification of the information	- Ex-post audits of costs reported by the beneficiaries - Auditors in possession of a personal security clearance	Coverage ex post audits: • Representative sample: sufficiently representative to draw valid management conclusions • Risk-based sample, determined in accordance with the selected risk criteria, aimed to maximise error correction (either higher amounts or expected error rate). Frequency: <u>Space</u>: risky based approach in case of red flags. Defence: a specific audit plan will be established after the risk analysis on the EDF first year's interim payments, which are planned in 2023.	Costs: estimation of cost of staff and/or external auditors involved in the supervision and audit strategy Benefits: budget value of the errors, detected by the auditors, which have actually been corrected. Effectiveness: Representative error rate below 2 %. Efficiency: total (average) annual cost of audits compared with benefits (ratio). Economy: Cost of ex-post audits of the underlying cost of the grant

ANNEX 7: Specific annexes related to "financial management"

1. Effectiveness of control results

International Organisations

European Space Agency (ESA)

In 2023 the second biggest part of DG DEFIS expenditure was delegated to the European Space Agency (ESA) for the implementation of the GNSS (Galileo and EGNOS), the Copernicus, Gvsatcom and SSA components of the Space Programme, as well as the Horizon Europe programme, which is totalling EUR 635.12 million (21,88 % of the total DG DEFIS 2023 payments).

The assurance on the effectiveness of the internal control systems with regard to the legality and regularity of the costs reported is built on:

- ESA's control results and/or assurance:
 - Opinion of the external auditor – unqualified audit opinion
 - Statement of Internal Control of the Director-General – clean
 - Reporting quality control at ESA – considered sufficiently reliable to draw conclusions on assurance.
- Authorising Officers by Delegation's own control results on the ESA's operations:
 - Results of the audits of the 2022 Annual Implementation Reports and the implementation of corrections – no error was found on the costs claimed (see further details in Annex 6).

The DG DEFIS ex-post audit team continued to audit all the Annual Implementation Reports (AIRs) and Annual financial reports (AFRs) submitted by ESA in 2023, apart from H2020/Horizon Europe. The latter because the past years no errors were found.

The results of the previous financial audits have been implemented. These corrections have been made at the time of the annual clearing of pre-financing payments to ESA. The overall residual error rate is below the 2% materiality threshold.

During the monitoring, errors detected ex-ante in the AIRs and the AFRs, have no impact on the legality and regularity of the amounts paid to ESA, because the amounts paid depend both on costs declared and on cash-flows forecasts. There remains the possibility to rectify them via future clearings of the pre-financings until the end of the delegated programmes.

In the framework of the regular working arrangement and top-level meetings between DG DEFIS and ESA, the Directorate-General closely monitors ESA's progress with the implementation of the programmes and the related reporting. Ensuring business continuity

is a priority and in case of service incidents⁴³, intense efforts are deployed and measures put in place to prevent such critical situations in the future.

The Relevant Control System Template (RCS) for indirect management in [Annex 6](#) demonstrates how the control system put in place in the Directorate-General, addresses the risks related to this type of expenditure.

Result indicators: Indicators of annual error – ESA/GNSS GALILEO

GALILEO FOC & FOC-DC					
<i>Annual Implementation Report of Financial Year</i>	Reported by ESA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	523.241.364,57	523.241.364,57	498.880.456,50	0	0,00 %
2022	698.917.807,27	698.917.807,27	317.202.052,00	0	0,00 %

Result indicators: Indicators of error – ESA/COPERNICUS

ESA COPERNICUS					
<i>Annual Implementation Report of Financial Year</i>	Reported by ESA (EC accepted costs)	Commission Audit report (eligible costs)	Amount of the sample	Adjustment	Detected error rate
2021	361.092.666,00	361.092.666,00	207.345.913,66	0	0,00%
2022	347.890.397,10	347.212.363,71	153.871.136,82	- 678.033,39	-0,44%

⁽⁴³⁾ For example, the incident occurred in July 2019 when the provision of Galileo Initial Services was impacted by a technical incident in the Galileo ground infrastructure.

The audit of the 2022 Annual Implementation Report revealed a very small error, related to an accrual issue. Regular Audits and corresponding corrections ensure that, on a multi-annual basis, the total amount paid under the Delegation Agreement will be compliant with the eligibility rules and will not exceed the limits defined in the Delegation Agreement.

Other international organisations, e.g. MERCATOR, ECMWF, EUMETSAT, SATCEN, OCCAR and EDA

The elements that provide assurance on the effectiveness of the internal control system with regard to the legality and regularity are mostly the same as explained under ESA.

These entrusted entities are normally audited every two years, according to the audit guidelines established at DG DEFIS unless specific circumstances, justifying a change, are identified. Consequently, EUMETSAT and SatCen were not audited this year.

We did not audit ECMWF this year neither, because the previous audits each time revealed 0% error rate.

ECMWF				
<i>Annual Implementation Report of Financial Year</i>	Reported by ECMWF	Commission Audit report	Adjustment	Detected error rate
2018	Not audited			
2019	54 714 886	54 714 886	0	0.0%
2020	Not audited			
2021	48 536 509	48 536 509	0	0.0%
2022	Not audited			

Only Mercator was audited in 2023 on the costs of 2022.

MERCATOR					
<i>Annual Implementation Report of Financial Year</i>	Reported by MERCATOR	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	Not audited				
2022	23.483.809,63	23.457.549,21	20.268.649,41	-26.260,42	-0,13%

For EDA and OCCAR, audits are planned in 2024.

EU Union Bodies

Decentralised Agencies, e.g. EUSPA, EEA, FRONTEX and EMSA

Besides the above-mentioned Delegation and Contribution agreements, similar agreements have been concluded with the **European Agency for the Space Programme (EUSPA)** in the area of GNSS exploitation activities. In 2023, the EU Agency for the Space Programme (EUSPA) constituted the biggest part of DG DEFIS expenditure, totalling EUR 1.479 billion (50,93 % of the total DG DEFIS 2023 payments). Although DG DEFIS remains ultimately accountable for the legality and regularity of these expenditures, it is the responsibility of EUSPA to set up the appropriate controls to provide the necessary assurance to its parent Directorate-General. The Commission exercises the supervisory tasks provided for in the existing delegation agreements through ex-ante controls over the regular implementation reports and procurement documentation submitted by the Agency. EUSPA is audited annually by the European Court of Auditors (ECA) and the submitted AIRs are also audited by external independent auditors. Also, DG DEFIS ex-post control team audited all the annual AIRs submitted by ESA/EUSPA. The overall detected error rate for Galileo and EGNOS for 2023 following the DG DEFIS audits (Working Arrangement (WA) with ESA included) is 0.68 % (respectively 0.01 % for GALILEO and 0.52% for EGNOS). Given that the grants provided by EUSPA under the H2020 delegation agreement are audited by the Common Audit Service (CAS) of the Research family, DG DEFIS used the related error rates (Representative error rate of 2.57% and cumulative residual error rate of 1.55 %).

Result indicators: Indicators of annual error – GALILEO and EGNOS programmes

EUSPA GALILEO					
Annual Implementation Report of Financial Year	Reported by GSA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	923.972.662	924.058.371	125.831.514	85.709	0,01%
2022	888.387.899	886.966.057	187.019.099	-1.421.842	-0,76%

EUSPA EGNOS					
<i>Annual Implementation Report of Financial Year</i>	Reported by GSA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	139.059.958	139.374.969	74.784.197	315.011	0,30%
2022	198.689.967	198.177.401	59.917.981	-512.566	-0,86%

According to the DG DEFIS audit guidelines and the 2023 Audit Work Programme, the entities other than ESA and EUSPA are audited every two years.

Result indicators: Indicators of annual error – EEA

EEA					
Annual Implementation Report of Financial Year	Reported by EEA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	17.391.383,89	17.391.383,89	9.961.158,68	0,00	0,00%
2022	9.583.380,23	10.257.204,23	8.049.188,67	-91.441,42	-1,14%

FRONTEX

No audit was performed on the 2022 cost of Frontex in line with the Annual Audit Work Programme, an audit was performed on the 2021 costs reported. The Audit did not reveal any errors. Considering that DG DEFIS is not the parent DG of FRONTEX, its supervision activities are focused on the implementation of the tasks delegated to the Agency under the signed Delegation Agreement (DA) and the Contribution Agreement (CA).

EMSA

In 2022, audits were performed in line with the bi-annual control foreseen for EMSA.

EMSA					
Annual Implementation Report of Financial Year	Reported by EMSA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	6.339.062,82	6.313.484,58	5.872.358,40	-25.578,24	0,44%
2022	12.219.460,74	12.219.409,99	12.219.460,74	-50,75	0,00%

Although the detected error rates during the ex-post control in 2023 is very low, all the non-audited agencies were given a “theoretical” error rate of 0.5%, following the conservative approach mentioned above. It is to be mentioned that according to DG DEFIS audit guidelines, these Agencies are audited every 2nd year, unless a specific risk is raised. Ex-ante checks and regular monitoring is performed on these entities over the year to ensure legality and regularity of the transactions.

Based on the declarations of assurance provided by the Executive Directors of these decentralised agencies and the results of the performed ex-post audits, DG DEFIS considers the implementation of the delegated funds to be legal and regular.

Executive Agencies

In its capacity of parent DG, DG DEFIS supervises the control systems⁴⁴ of HADEA in the context of their direct delegation as Authorising Officer by Delegation (AOD). HADEA performed its ex-post audits in the context of a common audit strategy. HADEA produces its own AARs. The preparation of the Annual Activity Report of HADEA was supervised by DG DEFIS and by the Steering Committee of the Agency.

Overall, DG DEFIS considers that its supervision of HADEA is effective and appropriate.

Procurement directly managed by DG DEFIS

Procurement under direct management represents 0.58 % of the total 2023 DG DEFIS expenditure. The payments made in 2023 on own procurement amount to EUR 16.992 020 EUR.

The Relevant Control System template (RCS) n°3 for procurement in [Annex 6](#) demonstrates how the control system in place in the Directorate-General addresses the risks related to this type of expenditure.

In 2023, 8 contracts with a value exceeding EUR 60,000 were awarded directly by DG DEFIS, representing a total contract value of EUR 18.561 million. The reader is referred to [Annex 3](#), table 12. These contracts do not include, however, contracts signed by the ESA in the name and on behalf of the Commission under ESA Delegation Agreements.

The procurement procedures applied in DG DEFIS involve several specific controls, which are fully in line with the applicable regulatory requirements. The benefit of these specific controls provides assurance on legality and regularity, transparency, equal treatment and proportionality of the public procurement and mitigates the risk of reputational damage. Given the low error rate, there are no indication that a higher level of checks and controls would produce any supplementary benefits.

Grants directly managed by DG DEFIS

DG DEFIS has set up internal control processes aimed to ensure the adequate management of the risks relating to the legality and regularity of the underlying transactions, considering the specificities of the programmes, as well as the nature of the payments concerned.

⁽⁴⁴⁾ The control systems of the Executive Agencies are similar to those of their parent DGs.

A major part of the expenditure implemented in 2023 in direct management relates to the European Defence Fund (EDF). As result of the 2022 EDF call for proposals 56 grant agreements were signed for a total value of EUR 983,7 million. The pre-financing paid for these grants amounts to EUR 439 million. For the grants funded under European Defence Industrial Development Programme (EDIDP) an amount of EUR 5 M was used in interim payments.

No ex-post audits have yet been carried out over these grants, as the first EDIDP projects started at the end of 2020 and have an average duration of 3 years.

Audits from the Internal Audit Service (IAS) and the European Court of Auditors (ECA)

Since its start, DG DEFIS is subject to audits both from the Internal Audit Service (IAS) and from the European Court of Auditors (ECA), covering various operational, financial, and organisational aspects of its defence industry and space programmes.

The space activities were already regularly audited before the creation of DG DEFIS. In the last six years (2018-2023), the IAS conducted eight audits:

- Audit on the supervision of project management and payment for Galileo (DG GROW, 2018).
- Audit on intellectual property rights supporting activities (DG GROW, 2018).
- Audit on the supervision of the implementation of the Copernicus Programme - Phase 2: management of the cooperation and coordination (DG GROW, 2018).
- Audit on the supervision of the implementation of the 2014-2020 programme for the European Geostationary Navigation Overlay Service (EGNOS) (2020).
- Audit on payments and accounting for tangible assets under the Galileo and Copernicus 2014-2020 programmes (2020).
- Limited review on the error rate calculation (2021).
- Audit on the preparedness for the management of the European Defence Fund (2022 – concluded early 2023).
- Audit on the preparedness of DG DEFIS's management and control systems for the 2021-2027 Space programme implementation (started in 2022 and still ongoing).

Based on the work done, the IAS concluded that the internal control systems in place for the audited processes were effective, except for two observations giving rise to “very important recommendations”. The first was related to the validation of the SME (or Midcap) status of beneficiaries, in the context of the European Defence Fund calls. The corrective measures have been submitted to the Internal Auditor in 2023 (as planned) that already recognised the recommendation fully implemented. The second recommendation, deriving from the last audit performed, is linked to the delayed signature of some security management plans established by the financial framework partnership agreement with ESA and EUSPA. The action plan proposed is in progress with some milestones already completed and a final implementation planned for mid-2024.

In 2023, DG DEFIS was audited by the European Court of Auditors in respect of the supervisory and control systems, receiving from the Court a clear opinion. DG DEFIS Annual Activity Report (AAR) was assessed appropriate to provide a fair assessment of the financial management in relation to the regularity of underlying transactions. Furthermore, in addition to its ordinary annual audits on accounts, two performance audits on DG DEFIS were performed by the Court, one of which has reached its final stage in 2023. These audits concerned the following subjects:

- Special Report 07/2021: EU space programme Galileo and Copernicus: services launched, but the uptake needs a further boost.
- Special Report 10/2023: The Preparatory action on defence research: Some lessons learned, but value as a testbed for increasing EU defence spending reduced due to time constraints and limited results.

DG DEFIS Management accepted all the issued recommendations. Their implementation is ongoing, with first milestones already achieved. One of the recommendations included in the Special Report 07/2021, concerning the development of a comprehensive strategy for supporting the uptake of EU space services, was considered “very important”. On this subject, DG DEFIS is finalising a staff working document on space data, considered as a compulsory step towards the Strategy that should be available in 2024.

2. Table Y on the estimated “cost of controls” at Commission level

Table Y – Overview of DG’s/EA’s estimated cost of controls at Commission (EC) level:

Table Y Cost of Control – Heading 1

Relevant Control System	Ex ante controls			Ex post controls			Total	
	a	b	c	d	e	f	g	h
	EC total costs	funds managed (in EUR)*	Ratio (%)* a/b	EC total costs	total value verified and/or audited (in EUR)	Ratio (%) d/e	EC total estimated cost of controls (in EUR)	Ratio (%) g/b
RCS 1 : Budget entrusted to other entities	3.612.523	2.307.479.628	0,16%	217.770	758.547.567	0,03%	3.830.293	0,17%
RCS 3: Procurement	1.731.371	18.525.510	9,35%	0	0	0,00%	1.731.371	9,35%
RCS 4: Grants	232.670	50.781.922	0,46%	0	0	0,00%	232.670	0,46%
OVERALL estimated cost of control at EC level	5.576.564	2.376.787.059	0,23%	217.770	758.547.567	0,03%	5.794.334	0,24%

Table Y Cost of Control – Heading 5

Relevant Control System	Ex ante controls			Ex post controls			Total	
	a	b	c	d	e	f	g	h
	EC total costs	funds managed (in EUR)*	Ratio (%)* a/b	EC total costs	total value verified and/or audited (in EUR)	Ratio (%) d/e	EC total estimated cost of controls (in EUR)	Ratio (%) g/b
RCS 1 : Budget entrusted to other entities	462.615	182.173.338	0,25%	0	0	0,00%	462.615	0,25%
RCS 3: Procurement	187.044	2.497.130	7,49%		0	0,00%	187.044	7,49%
RCS 4: Grants	7.693.964	342.377.645	2,25%	0	0	0,00%	7.693.964	2,25%
OVERALL estimated cost of control at EC level	8.343.623	527.048.113	1,58%	0	0	0,00%	8.343.623	1,58%

Table Y Cost of Control – Total of the Headings

Relevant Control System	Ex ante controls			Ex post controls			Total	
	a	b	c	d	e	f	g	h
	EC total costs	funds managed (in EUR)*	Ratio (%)* a/b	EC total costs	total value verified and/or audited (in EUR)	Ratio (%) d/e	EC total estimated cost of controls (in EUR)	Ratio (%) g/b
RCS 1 : Budget entrusted to other entities	4.075.138	2.489.652.966	0,16%	217.770	758.547.567	0,00%	4.292.908	0,17%
RCS 3: Procurement	1.918.415	21.022.640	9,13%	0	0	0,00%	1.918.415	9,13%
RCS 4: Grants	7.926.634	393.159.566	2,02%		0	0,00%	7.926.634	2,02%
OVERALL estimated cost of control at EC level	13.920.187	2.903.835.173	0,48%	217.770	758.547.567	0,00%	14.137.957	0,49%

ANNEX 8: Specific annexes related to "assessment of the effectiveness of the internal control systems"

N/A

ANNEX 9: Specific annexes related to "Control results" and "Assurance: Reservations"

1. Annex related to "Control results" - Table X: Estimated risk at payment and at closure

Table X : Estimated risk at payment and at closure

Table X : Estimated risk at payment and at closure (amounts in EUR mios)

DG DEFIS	Payments made (2023;MEUR)	minus new prefinancing [plus retentions made] (in 2023;MEUR)	plus cleared prefinancing [minus retentions released and deductions of expenditure made by MS] (in 2023;MEUR)	Relevant expenditure (for 2023;MEUR)	Detected error rate or equivalent estimates	Estimated risk at payment (2023;MEUR)	Adjusted Average Recoveries and Corrections (adjusted ARC; %)	Estimated future corrections [and deductions] (for 2023;MEUR)	Estimated risk at Closure (2023;MEUR)
-1	-2	-3	-4	-5	-6	-7	-8	-9	-10
Heading 1 - Grants SPACE	50,78	- 48,55	2,02	4,25	0,50% - 0,50%	0,02 - 0,02	0,00% - 0,00%	0,00 - 0,00	0,02 - 0,02
Heading 1 - Procurement SPACE	15,13	- 1,61	2,81	16,32	0,50% - 0,50%	0,08 - 0,08	0,00% - 0,00%	0,00 - 0,00	0,08 - 0,08
Heading 1 - International Organisations - ESA - Copernicus	534,51	- 534,51	347,21	347,21	0,44% - 0,44%	1,53 - 1,53	0,00% - 0,00%	0,00 - 0,00	1,53 - 1,53
Heading 1 - International Organisations - ESA - IOV/IOD	11,15	- 11,15	11,85	11,85	0,50% - 0,50%	0,06 - 0,06	0,00% - 0,00%	0,00 - 0,00	0,06 - 0,06
Heading 1 - International Organisations - ESA - GALILEO	22,70	- 22,70	86,33	86,33	0,50% - 0,50%	0,43 - 0,43	0,00% - 0,00%	0,00 - 0,00	0,43 - 0,43
Heading 1 - International Organisations - ESA - Gvsatcom/SSA	3,81	- 3,81	5,59	5,59	0,50% - 0,50%	0,03 - 0,03	0,00% - 0,00%	0,00 - 0,00	0,03 - 0,03
Heading 1 - International Organisations - ESA - Horizon 2020/Europe	32,81	- 32,81	30,49	30,49	0,50% - 0,50%	0,15 - 0,15	0,00% - 0,00%	0,00 - 0,00	0,15 - 0,15
Heading 1 - International Organisations - ESA - IRIS2	28,00	- 28,00	0,00	0,00	0,50% - 0,50%	0,00 - 0,00	0,00% - 0,00%	0,00 - 0,00	0,00 - 0,00
Heading 1 - International Organisations - Copernicus - Mercator	27,74	- 27,74	23,46	23,46	0,13% - 0,13%	0,03 - 0,03	0,00% - 0,00%	0,00 - 0,00	0,03 - 0,03
Heading 1 - International Organisations - Copernicus - ECMWF	39,89	- 39,89	34,61	34,61	0,50% - 0,50%	0,17 - 0,17	0,00% - 0,00%	0,00 - 0,00	0,17 - 0,17
Heading 1 - International Organisations - Copernicus - EUMETSAT	79,75	- 79,75	77,36	77,36	0,50% - 0,50%	0,39 - 0,39	0,00% - 0,00%	0,00 - 0,00	0,39 - 0,39
Heading 1 - International Organisations - Copernicus - EEA	13,74	- 13,74	9,71	9,71	1,14% - 1,14%	0,11 - 0,11	0,00% - 0,00%	0,00 - 0,00	0,11 - 0,11
Heading 1 - International Organisations - Copernicus - EMSA	12,96	- 12,96	12,23	12,23	0,50% - 0,50%	0,06 - 0,06	0,00% - 0,00%	0,00 - 0,00	0,06 - 0,06
Heading 1 - International Organisations - Copernicus - SatCen	4,53	- 4,53	0,96	0,96	0,50% - 0,50%	0,00 - 0,00	0,00% - 0,00%	0,00 - 0,00	0,00 - 0,00
Heading 1 - International Organisations - Copernicus - Frontex	14,67	- 14,67	5,94	5,94	0,50% - 0,50%	0,03 - 0,03	0,00% - 0,00%	0,00 - 0,00	0,03 - 0,03
Heading 1 - EUSPA - Subsidy	76,92	- 76,92	65,24	65,24	0,50% - 0,50%	0,33 - 0,33	0,00% - 0,00%	0,00 - 0,00	0,33 - 0,33
Heading 1 - EUSPA - EGNOS	104,25	- 104,25	197,86	197,86	0,86% - 0,86%	1,70 - 1,70	0,00% - 0,00%	0,00 - 0,00	1,70 - 1,70
Heading 1 - EUSPA - GALILEO	1 261,37	-1 261,37	886,95	886,95	0,76% - 0,76%	6,74 - 6,74	0,00% - 0,00%	0,00 - 0,00	6,74 - 6,74
Heading 1 - EUSPA - Gvsatcom/SSA	7,39	- 7,39	1,39	1,39	0,50% - 0,50%	0,01 - 0,01	0,00% - 0,00%	0,00 - 0,00	0,01 - 0,01
Heading 1 - EUSPA - H2020/Europe - downstream	31,28	- 31,28	23,06	23,06	1,55% - 1,55%	0,36 - 0,36	0,00% - 0,00%	0,00 - 0,00	0,36 - 0,36
Heading 1 - Administrative expenses	3,12	0,00	0,00	3,12	0,50% - 0,50%	0,02 - 0,02	0,00% - 0,00%	0,00 - 0,00	0,02 - 0,02
Heading 3 - Grants SPACE	0,00	0,00	0,30	0,30	0,50% - 0,50%	0,00 - 0,00	0,00% - 0,00%	0,00 - 0,00	0,00 - 0,00
Heading 3 - Procurement SPACE	0,26	0,00	0,00	0,26	0,50% - 0,50%	0,00 - 0,00	0,00% - 0,00%	0,00 - 0,00	0,00 - 0,00
Heading 5 - Grants DEFENCE	342,38	- 304,89	57,19	94,69	0,50% - 0,50%	0,47 - 0,47	0,00% - 0,00%	0,00 - 0,00	0,47 - 0,47
Heading 5 - Procurement DEFENCE	1,86	- 0,22	0,00	1,64	0,50% - 0,50%	0,01 - 0,01	0,00% - 0,00%	0,00 - 0,00	0,01 - 0,01
Heading 5 - International Organisations - OCCAR	145,25	- 145,25	28,96	28,96	0,50% - 0,50%	0,14 - 0,14	0,00% - 0,00%	0,00 - 0,00	0,14 - 0,14
Heading 5 - International Organisations - EDA	36,92	- 36,92	10,79	10,79	0,50% - 0,50%	0,05 - 0,05	0,00% - 0,00%	0,00 - 0,00	0,05 - 0,05
Heading 5 - Administrative expenses	0,64	0,00	0,00	0,64	0,50% - 0,50%	0,00 - 0,00	0,00% - 0,00%	0,00 - 0,00	0,00 - 0,00
Heading 7 - Administrative expenses	0,01	0,00	0,00	0,01	0,50% - 0,50%	0,00 - 0,00	0,00% - 0,00%	0,00 - 0,00	0,00 - 0,00
DG total	2 903,84	-2 844,92	1 922,32	1 981,24		12,93 - 12,93	0,00% - 0,00%	0,00 - 0,00	12,93 - 12,93
					Overall risk at payment in %	0,65% - 0,65% (7) / (5)		Overall risk at closure in %	0,65% - 0,65% (10) / (5)

Notes to the table X

(1) Relevant Control Systems differentiated per relevant portfolio segments and at a level which is lower than the total.

(2) Payments made or equivalent, e.g. expenditure registered in the Commission's accounting system, accepted expenditure or cleared pre-financing. In any case, this means after the preventive (ex-ante) control measures have already been implemented earlier in the cycle.

In all cases of Co-Delegations (Internal Rules Article 3), "payments made" are reported by the Delegated departments. For Cross-Sub-Delegations (Internal Rules Article 12), the reporting remains with the Delegating departments.

(3) New pre-financing actually paid out by the department itself during the financial year (i.e. excluding any pre-financing received as a transfer from another department). as per note 2.5.1 to the Commission annual accounts thus excluding "Other advances to Member States" which are covered on a purely payment-made basis (note 2.5.2). Pre-financing paid/cleared" are always covered by the Delegated departments, even for Cross-Sub-Delegations.

(4) Pre-financing actually cleared during the financial year (i.e. their 'delta' in the Financial Year 'actuals', not their 'cut-off' based estimated 'consumption').

(5) For the purpose of equivalence with the ECA's scope of the EC funds with potential exposure to legality & regularity errors (see the ECA's Annual Report methodological annex 1.1), our concept of "relevant expenditure" includes the payments made, subtracts the new pre-financing paid out [& adds the retentions made], and adds the pre-financing actually cleared [& subtracts the retentions released; and any deductions of *expenditure made by MS*] during the FY. This is a separate and 'hybrid' concept, intentionally combining elements from the budgetary accounting and from the general ledger accounting.

(6) In this column, we disclose the detected error rates or equivalent estimates

For low-risk types of expenditure, where there are indications that the equivalent error rate might be close to 'zero' (e.g. *administrative expenditure, operating contributions to agencies*), the rate which should be used is 0.5% as a conservative estimate, unless the department has a more precise estimate based on evidence.

(8) The adjusted average recovery and corrections percentage is based on the 7 years historic Average of Recoveries and financial Corrections (ARC), which is the best available indication of the corrective measures each department applied over the past years as a result of ex post controls. The AOD has not adjusted this historic average.

DG DEFIS has analysed the correlation between estimated future corrections and implemented amount of corrections and recoveries. However, since the estimated future corrections over the years declines and as we work in multi-year programmes, where the corrections are implemented in the next reporting year and hardly result in real ROs, no trend can be established.

(9) For some programmes with no set *closure* point (e.g. EAGF) and for some multiannual programmes for which corrections are still possible afterwards (e.g. EAFRD and ESIF), all corrections that remain possible are considered for this estimate.

2. Reservations

Not applicable

ANNEX 10: Reporting – Human resources, digital transformation and information management and sound environmental management

Human resources management

Objective: DG DEFIS employs a competent and engaged workforce and contributes to gender equality at all levels of management to effectively deliver on the Commission's priorities and core business

Indicator 1: Number and percentage of first female appointments to middle management positions

Source of data: Commission Decision SEC(2020)146 of 1 April 2020 and SEC(2023)200 and SYSPER

Baseline (2020)	Target ⁴⁵ (2022) + (2024)	Latest known results (2023)
Female representation in management: 56%, 5 out of 9 on 1 February 2020	No 2023-2024 target	1 female first nomination in the middle management in 2023 (58% female Heads of Unit)

Indicator 2: DG DEFIS Staff engagement index

Source of data: Commission staff survey

Baseline (2020)	Target (2024)	Latest known results (2023)
60% ⁴⁶	70%	65%

Main outputs in 2023:

Human resources management

Description	Indicator	Target	Latest known results (situation on 31/12/2023)
Promote virtual and e-learning opportunities for colleagues (i.e. webinars, e-learning modules)	Number of virtual and e-learning trainings followed by DEFIS staff	10 % of trainings followed by virtual means	12% In 2023, DEFIS staff participated in 1095 courses, of which 131 were e-learning courses.
Launch specialised EPSO competitions	Official publication	1 competition completed in 2022 in defence and space domain	The lists of successful candidates were published in November 2023 Reserve lists - Administrators and experts in the fields of defence industry and space EU Careers (europa.eu) https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=OJ%3AC%3A2022%3A233A%3ATOC

⁽⁴⁵⁾ The target will be reviewed for the period 2023-2024 by January 2023.

⁽⁴⁶⁾ DG DEFIS was created end of 2019 by the transfer from DG GROW of Directorates I and J. The staff engagement index for these two directorates was 60% in 2018 and was taken as baseline for DG DEFIS.

Internal communication actions			
Output	Indicator	Target	Latest known results (situation on 31/12/2023)
Maintenance and animation of DG DEFIS intracomm website	- Number of visits	- 5.000 visits	- 45,169 visits visits
Publication of weekly internal newsletters 'DEFIS BUZZ'	- Number of recipients and readers	- 150 readers per edition -	- 321 readers per edition
Organisation of DEFIS Lab seminars	- Number of editions - Number of attendees [physical and online]	- 6 editions - 400 attendees	- 5 editions - + 8 "DEFIS Summer School" sessions - 650 attendees
Organisation of a DG DEFIS Away-day	- Number of attendees and satisfaction survey	At least 60% of attendees	- Due to budget limitations, we had to change strategy and away days are organised by Directorates
Organisation of regular meeting(s) of the Director-General with the staff	- Number of meetings - Number of attendees and quality of interactions	- 4 meetings - 175 attendees each	- 7 meetings - 225 attendees per meeting
Promotion of EMAS and organisation of EMAS events to promote corporate campaigns	- Number of events	- At least 1	- No EMAS event but promotion of EMAS tips and initiatives

Digital Transformation and information management

Objective: DG DEFIS is using innovative, trusted digital solutions for better policy-shaping, information management and administrative processes to forge a truly digitally transformed, user-focused and data-driven Commission

Indicator 1: Degree of implementation of the digital solutions modernisation plan⁴⁷

Source of data: DEFIS Information Resources Manager

Baseline (2020)	Target (2024)	Latest known results (Situation on 31/12/2023)
0% (DG DEFIS created on 1/1/2020)	60 %	60 %

Indicator 2: Percentage of DG DEFIS key data assets for which corporate principles for data governance have been implemented

Source of data: DG DEFIS

Baseline (2020)	Interim milestone (2023)	Target (2024)	Latest known results (situation on 31/12/2023)
0% (DG DEFIS created on 1/1/2020)	30%	50%	30%

Indicator 3: Percentage of staff attending awareness raising activities on data protection compliance

Source of data: DG DEFIS

Baseline (2020)	Target (2024)	Latest known results (situation on 31/12/2023)
0% (DG DEFIS created on 1/1/2020)	100% of staff	54% overall staff awareness level reached in DEFIS on the basis of DPC-led activities since 2020. 4 entities/units trained in 2022, 3 in 2021, and 7 out of 13 entities/units trained in total since 2020.

⁽⁴⁷⁾ The European Commission Digital Strategy (C(2018)7118) calls on Commission services to digitally transform their business processes by developing new innovative digital solutions or make evolve the existing ones in line with the principles of the strategy. At the beginning of the year N+1, the Solution Owner and IT Investments Team will assess the progress made on the basis of the proposed modernisation plan. For each of the 3 solutions, a table will reflect – per principle - the progress achieved during the last year.

Main outputs in 2023:

Digital transformation and information management

Description	Indicator	Target	Latest known results (Situation on 31/12/2023)
Implementation of the corporate principles for data governance for DG DEFIS key data assets	Percentage of implementation of the corporate principles for data governance for [the service's] key data assets	Interim milestone by 2023: 30%	30 %
Deployment of new IT applications and update of existing application (listed in the Management Plan 2022)	Number of new DEFIS IT application	3 new or update of existing applications	3 Two new applications are running on Pilot phase and 1 in production
Increase staff awareness in DG DEFIS on personal data protection rules.	- Percentage management attending awareness raising activities. - Percentage of staff attending awareness raising activities.	- Senior Management: 50% - Middle Management: 50% - Other Staff: 50%	- 100% of DEFIS staff was reached during the data protection day via an invitation to a data protection coffee, which also included a quizz on data protection.
Map degree of implementation of data protection procedures	- Number of records due. - Number of privacy statements due. Percentage of Unit inventories	- Percentage of records prepared. - Percentage of privacy statements prepared. Number of Unit inventories prepared.	- 7 % (1 out of 14) with 1 published records, 8 records initiated (in draft) and 2 under DPO validation during 2023 which are pending for finalisation in 2024. - 100% with 26 privacy statements validated by the DPC.
DEFIS IT systems complying with data protection rules.	Number of DEFIS IT systems.	Percentage of DEFIS IT systems complying with data protection rules.	- 44% (4 out of 9)

Sound environmental management and example(s) of initiatives to improve economy and efficiency of financial and non-financial activities

Objective: DG DEFIS takes full account of its environmental impact in all its actions and actively promotes measures to reduce the related day-to-day impact of the administration and its work

Main outputs in 2023:

I. More efficient use of resources (energy, water, paper):

Description	Indicator	Target (2019 as baseline)	Latest known results (situation on 31/12/2023)
Paperless working methods at DG level (such as paperless working: e-signatories, financial circuits, collaborative working tools) and staff awareness actions to reduce office paper use in the framework of EMAS corporate campaigns and/or raise awareness about DG's office paper use in collaboration with OIB/OIL where appropriate.	Number of actions	1 action per year	Most of activities are paperless
	Number or % of staff informed/participated	Address all DG DEFIS staff	All staff informed
	% of Ares e-signed documents	establish a baseline for the year of operation	100%
		Reduce paper consumption (%)	

II. Reducing CO₂, equivalent CO₂ and other atmospheric emissions

Description output	Indicator	Target (2019 as baseline)	Latest known results (situation on 31/12/2023)
Staff awareness actions on reducing GHG emissions (such as actions on sustainable commuting during EU Mobility week and VeloWalk corporate events) and/or raise staff awareness on sustainable commuting in collaboration with OIB or OIL (e.g. availability of bike parking facilities, lockers and showers, promote the reduction of parking spaces' use amongst staff).	Number or % of staff informed/participated	Address all DG staff	All staff was informed
	% of staff participating in VeloWalk	increase of staff participating in VeloWalk	
	% of sustainable commuters ⁽⁴⁸⁾ at DG/service	Increase % of sustainable commuters at DG/service (%) ⁽⁴⁹⁾	
	Number of VC / hybrid meeting rooms	Number of VC /Hybrid meeting rooms	All large meeting rooms equipped

⁽⁴⁸⁾ Sustainable commuting usually refers to environmentally friendly travel modes, such as. Public transport (bus, tram, subway, light rail), walking, cycling, and carpooling.

⁽⁴⁹⁾ Only for Brussels: Based on the results of the staff mobility surveys conducted by OIB.

Description output	Indicator	Target (2019 as baseline)	Latest known results (situation on 31/12/2023)
Gradual increased use (and number of) VC ⁽⁵⁰⁾ meeting rooms for meetings with stakeholders (avoiding business trips) in the DG, in collaboration with DG SCIC, OIB and OIL.			
Analysis of DG's missions trends /patterns (based on corporate EC-staff's professional trips (missions) ⁽⁵¹⁾), optimise and gradually reduce CO ₂ emissions (e.g. by optimising the number of participants in the same mission, promoting more sustainable travelling options, promoting videoconferencing/ virtual events as an alternative).	Number of missions	Number of missions	TBC
	CO ₂ (t) emissions from DG's missions <i>(% means of transportation used)</i>	Establish a baseline for the first "normal" year of operation Reduce DG's CO ₂ emissions from missions ⁽⁵²⁾ (%) in comparison with 2019 data (while in DG GROW)	
Staff awareness on digital pollution and gradual change of behaviours avoiding heavy emails, encouraging the use of ICT platforms, avoiding unnecessary storage of data.	Number or % of staff informed/participated	Address all DG staff	All staff was informed/reminded through internal communication
III. Reducing and management of waste			
Description output	Indicator	Target (2019 as baseline)	Latest known results (situation on 31/12/2023)
Implementation of the EC Guidelines for sustainable meetings and events , e.g. reduce/eliminate single-use plastics, gadgets/gifts.	Number of green events	At least 1 event	8 events under the Green Deal objective
IV. Promoting green public procurement (GPP)			
Description output	Indicator	Target (2019 as baseline)	Latest known results (situation on 31/12/2023)
	Number of calls	Equal or above 2021 results	Increase

⁽⁵⁰⁾ VC (Videoconferencing) room

⁽⁵¹⁾ data provided by HR.D.02

⁽⁵²⁾ Based on data provided by the Commission's carbon footprint analysis (by HR.D.02), including business travel.

Description output	Indicator	Target (2019 as baseline)	Latest known results (situation on 31/12/2023)
Encourage actions underpinning the use of space data, services and applications in support of the EU Green Deal.	Number of projects funded	Equal or above 2021 results	Increase
	Overall amount in EUR	Equal or above 2021 results	Increase

Security and Information

Objective: DG DEFIS is ensuring a high level of protection of the sensitive and classified information it manages

Indicator 1: Percentage of staff holding a Personal Security Clearance

Source of data: LSO database

Baseline (2020)	Target (2024)	Latest known results (situation on 31/12/2023)
95% (DG DEFIS created on 1/1/2020)	95% Due to the continued arrival of new staff and the length of procedures in some Member States, the target of 100% is unachievable	86% holding a Personal Security Clearance; 5% under vetting procedure

Indicator 2: Number of security incidents detected versus number of transfers of EUCI (on a yearly basis)

Source of data: LSO database, RCO database

Baseline (2020)	Target (2024)	Latest known results (situation on 31/12/2023)
Less than 1 per 1000	Less than 1 per 2000	No incident reported in 2023

Indicator 3: Percentage of staff completing awareness and training plan for security

Source of data: European Commission

Baseline (2020)	Target (2024)	Latest known results (situation on 31/12/2023)
0% (DG DEFIS created on 1/1/2020)	100%	- EUCI briefing : 86% - RUE training : 58% - SNC training : 69%

Main outputs in 2023:

Description	Indicator	Target	Latest known results (situation on 31/12/2023)
Update of the internal guide for the handling of SNC and RUE information	Publication of internal guide on DEFIS intracomm	- Mid-2022	Internal guide published in Q1 2023
Organise security trainings	- Percentage of management attending awareness raising activities. - Percentage of staff attending awareness raising activities.	- Management: 40%. - Staff: 80%	- Management: 30%. - Staff: 70%
Staff security clearance	Percentage of staff with personal security clearance or in the process of being security cleared	- all DEFIS staff: 95 %	91%
Internal security reports	Circulation of monthly reports	- Management staff - 8 reports	2 reports in 2023
Installation of electronic door handles in all directorate office spaces	Percentage of equipped doors	- 90 %	85% New offices were allocated to DG DEFIS in 2023. They remain to be equipped.

ANNEX 11: Implementation through national or international public-sector bodies and bodies governed by private law with a public sector mission (if applicable)

Not applicable.

ANNEX 12: EAMR of the Union Delegations (if applicable)

Not applicable.

ANNEX 13: Decentralised agencies and/or EU Trust Funds (if applicable)

Name of the entity	Role of the DG	Policy area concerned	Amount paid in 2023 in €			
			Contribution to			Delegation/Contribution agreement
			Operating (admin) budget	Operational budget	Total in €	
EUSPA	Mother DG	Space		1.481.222.517,46		X
EEA		Space		13.744.000,00		X
EMSA		Space		12.956.000,00		X
FRONTEX		Space		14.668.000,00		X
		Total		2.489.652.966		